

CHOICES / RESOURCES / EXECUTIVE DECISIONS

Corporate Strategy English

Frame the decision. Expose the trade-off. Make the recommendation precise.

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Eight scenarios. Eight extended conversations.

INSIDE THE BOOK

192 vocabulary entries / 128 reusable phrases
160 dialogue turns / 80 numbered dialogue gaps
Word banks and explained answer keys

Upper-intermediate to advanced (B2-C1). For strategy teams, business-unit leaders, analysts, and executive-office colleagues.

2026 edition

Eight scenarios. Eight skills.

Practice eight decision conversations that connect ambition, evidence, economics, uncertainty, and accountable execution.

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A strong recommendation shows its logic.

Strategy English is not a collection of impressive labels. It is language for making choices explicit: what problem matters, why an option could work, what it consumes, and what would change the recommendation. These fictional cases give the meeting a specific decision and a visible evidence boundary.

Separate the objective from the option

Entering a market is one possible action; it is not automatically the business outcome the sponsor needs. Confirm the measure and horizon before treating an attractive solution as the assignment.

"Is the priority revenue growth, operating profit, or a particular market position?"

State the forgone alternative

A resource request becomes clearer when it names the next-best use of the same money and people. Funding a priority should not conceal the work that must stop, shrink, or wait.

"Both proposals need the same team; which work would be displaced?"

Distinguish potential from captured value

A large market, a synergy estimate, and a rising revenue line describe different things. Each needs a bridge to the company's actual access, delivery costs, and implementation capacity.

"The savings are a hypothesis until the timing, cost, and integration dependencies are tested."

Ask for the decision you need

A board presentation should connect its evidence to an explicit request with limits and follow-up. A pilot decision is not approval of an unlimited rollout.

"Approve the bounded pilot, with the stated spending cap and review gate."

PROFESSIONAL BOUNDARIES

Original fictional language practice, not investment, legal, accounting, valuation, or transaction advice. Figures are teaching assumptions, not forecasts. Actual strategic decisions require verified company facts, appropriate analysis, authorized governance, and qualified review where needed.

Growth is an ambition, not yet a clear assignment

A Read the situation

Clarify an executive mandate before selecting a growth option or commissioning broad analysis.

Executive sponsor Daniel asks strategy lead Rina for a growth strategy. Last year the business reported \$20 million revenue and \$2 million operating profit. The sponsor has not chosen whether the primary objective is revenue growth, operating-profit improvement, or entry into a new market. No target, horizon, or spending limit has been agreed. A workshop is scheduled for Monday. Rina must establish the decision question and missing inputs rather than assume that an acquisition or a 20% revenue target has already been authorized.

PEOPLE / Daniel: Executive sponsor | Rina: Strategy lead

CLARIFYING THE ASSIGNMENT IS PART OF SENIOR JUDGMENT

A question about the objective need not sound resistant. Explain how different definitions of success would change the options and evidence required. Keep the request focused enough for the sponsor to answer, rather than returning a long list of questions with no decision structure.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is the primary unresolved issue?

A Whether the company has no revenue

B Which approved market-entry plan is being implemented

C Which outcome the growth strategy should prioritize

D Whether an acquisition has already closed

2. What do the supplied figures describe?

A The new market's total spending

B Last year's revenue and operating profit

C Next year's approved targets

D A confirmed acquisition price and integration cost

3. Which action is not authorized by the brief?

A Treating an acquisition and 20% revenue target as approved

B Asking the sponsor to define success

C Identifying the missing horizon

D Preparing a focused decision question

Answers and explanations: [page 76](#).

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

strategic mandate

The authorized purpose and boundaries of a strategy assignment.

IN USE clarify the strategic mandate

problem statement

A precise description of the issue to be addressed.

IN USE sharpen the problem statement

decision question

The choice the analysis is intended to support.

IN USE frame the decision question

executive sponsor

The senior person accountable for backing and directing an initiative.

IN USE confirm the executive sponsor

objective

The outcome an effort is intended to achieve.

IN USE define the strategic objective

target

A specified desired level of performance or outcome.

IN USE set a measurable target

baseline

The starting reference against which a change is assessed.

IN USE establish the baseline

time horizon

The period over which a decision or outcome is evaluated.

IN USE agree the time horizon

scope boundary

A limit on what the assignment includes.

IN USE document the scope boundary

constraint

A condition restricting feasible choices.

IN USE identify binding constraints

diagnosis

An evidence-based explanation of the central problem or challenge.

IN USE develop the strategic diagnosis

symptom

An observed sign that may have more than one underlying cause.

IN USE distinguish a symptom from a cause

Precision check

Revenue and operating profit are different measures. The historical figures imply a 10% operating margin on the stated basis, but do not tell the team which outcome to prioritize. A growth label should not silently become a revenue target, acquisition mandate, or permission to spend.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

hypothesis

A proposition requiring testing against evidence.

IN USE test the working hypothesis

issue tree

A structured breakdown of a problem into questions.

IN USE build an issue tree

driver analysis

Examination of factors contributing to an observed result.

IN USE conduct driver analysis

evidence gap

Missing information needed to support a conclusion.

IN USE identify an evidence gap

assumption register

A record of premises, evidence status, and owners.

IN USE maintain the assumption register

fact base

The verified information supporting an analysis.

IN USE build the fact base

stakeholder map

A description of relevant parties and their interests or roles.

IN USE prepare a stakeholder map

alignment

Shared understanding of the relevant goal or decision.

IN USE confirm alignment on the objective

decision rights

The authority to make or approve specified choices.

IN USE clarify decision rights

success criterion

A condition used to determine whether the effort meets its goal.

IN USE agree success criteria

strategic option

A distinct possible course of action.

IN USE develop strategic options

recommendation

A proposed course of action supported by reasoning.

IN USE present a qualified recommendation

Precision check

Diagnosis asks what explains the challenge; an option proposes what to do about it. Starting with an acquisition can lock the analysis into one answer before the decision question is settled. A clear mandate preserves the ability to compare genuinely different courses of action.

Phrases you can actually use

C Notice the language / 1 of 2

CLARIFY THE REQUEST

"Which outcome should the growth strategy prioritize?"

SEPARATE THE MEASURES

"Revenue growth and profit improvement can point to different choices."

NAME THE BOUNDARY

"We have not yet agreed a spending limit or scope."

REQUEST AUTHORITY

"Who will approve the objective and the final recommendation?"

USE THE BASELINE

"Last year revenue was \$20 million and operating profit was \$2 million."

ASK FOR THE HORIZON

"Over what period should we evaluate the result?"

AVOID A PREMATURE SOLUTION

"Acquisition is an option to assess, not the mandate itself."

CLOSE WITH A DECISION

"Let us confirm the mandate before Monday's options discussion."

Growth in what

A useful follow-up names the metric rather than accepting the broad label.

Objective versus route

Profit improvement is an outcome; acquisition is a possible means.

Last year versus next year

Temporal labels prevent a historical result from becoming an implied forecast.

Phrases you can actually use

C Notice the language / 2 of 2

TEST THE DIAGNOSIS

"What evidence explains the gap between current performance and the desired outcome?"

KEEP A HYPOTHESIS OPEN

"We should test the cause before designing the response."

DISTINGUISH A TARGET

"A 20% revenue figure has not been approved as the goal."

SUMMARIZE THE GAP

"We have a historical baseline, but no agreed target or horizon."

MARK AN ASSUMPTION

"I will label that premise as unverified until its owner confirms it."

LIMIT THE ANALYSIS

"Which questions would actually change the decision?"

PRESERVE ALTERNATIVES

"The initial option set should not assume one route is inevitable."

CHECK UNDERSTANDING

"Does this question capture the choice you need the team to support?"

Could versus should

Could identifies an option; should introduces a recommendation that needs a rationale.

Authorized

Use this only for an actual decision, not a promising idea raised in discussion.

Decision-focused question

Ask for the missing input that changes the analysis, not for detail with no clear purpose.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which clarification should come first?

- A** Should the historical revenue be relabeled as a target?
- B** Is the priority revenue, operating profit, or a defined market-entry outcome?
- C** Which acquisition should we announce before the workshop?
- D** How can we describe every possible initiative as approved?

2. What operating margin follows from the supplied historical figures?

- A** 100%
- B** 10%
- C** 20%
- D** 2%

3. Which sentence correctly labels an acquisition?

- A** It is one option to assess after clarifying the mandate.
- B** It is the only possible meaning of growth strategy.
- C** It is authorized because the sponsor used the word growth.
- D** It is the same thing as a profit objective.

4. Which summary best prepares the next discussion?

- A** We already have all success criteria because last year's revenue is known.
- B** The workshop date establishes unlimited spending authority.
- C** The analyst can invent the target to avoid another question.
- D** We need an objective, target, horizon, boundaries, and decision owner.

[Answers and explanations: page 76.](#)

Growth is an ambition, not yet a clear assignment

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

strategic mandate / strategic option / success criteria / diagnosis / decision rights / assumption
register / baseline / issue tree / time horizon / objective

- 01 **Daniel:** I want a growth strategy ready for discussion on Monday. The business needs a stronger direction, and I would like the team to move quickly.
- 02 **Rina:** I can focus the work, but first we need the ¹ _____. Does growth mean increasing revenue, improving operating profit, or establishing a position in a new market?
- 03 **Daniel:** Those are all attractive, but I have not ranked them. Last year we had twenty million dollars in revenue and two million in operating profit.
- 04 **Rina:** That gives us a historical ² _____. It does not yet tell us which change matters most, or what trade-offs you would accept to achieve it.
- 05 **Daniel:** I see the distinction. A plan that adds revenue at a lower margin might look good under one measure and weak under another.
- 06 **Rina:** Exactly. The ³ _____ changes the comparison. We should not choose the measure after seeing which option produces the most attractive number.
- 07 **Daniel:** What else would you need before asking the team to analyze possible routes? I do not want a clarification process that becomes its own large project.
- 08 **Rina:** A defined ⁴ _____, a target, and the important constraints. A focused one-year improvement and a longer market-building effort could require very different evidence and commitments.
- 09 **Daniel:** We have not agreed a spending limit. I also mentioned acquisition in a previous conversation, but I did not approve a transaction.
- 10 **Rina:** I will treat acquisition as a ⁵ _____, not the assignment itself. Otherwise we risk evaluating only how to acquire something instead of whether that route addresses the actual problem.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 10.

- 11 **Daniel:** Some people say weak sales execution is the reason growth has slowed. Others say the offer no longer fits what customers need.
- 12 **Rina:** Those are competing explanations. We need a ⁶ _____ supported by evidence, rather than selecting whichever explanation makes an existing project appear necessary.
- 13 **Daniel:** Can you break that investigation into a few questions for the workshop? I want people to see what information could change the recommendation.
- 14 **Rina:** I can use an ⁷ _____ to separate customer demand, the offer, and execution questions. It should structure the work, not become a diagram that pretends we already know the answer.
- 15 **Daniel:** We will also need to distinguish facts from assumptions. Several figures in early presentations came from estimates that nobody formally checked.
- 16 **Rina:** I will keep an ⁸ _____ with the source and owner of each material premise. That lets us identify which uncertainty could change the choice before refining the numbers.
- 17 **Daniel:** I should confirm the outcome and limits, then the team can compare routes. Who else needs a decision role should be explicit as well.
- 18 **Rina:** Yes. Clear ⁹ _____ will prevent a workshop preference from being reported as authorization. We can name the sponsor decisions separately from the analytical work assigned to the team.
- 19 **Daniel:** Prepare a short mandate summary for me to confirm before Monday. Do not put a twenty-percent revenue target in it as if I have already agreed.
- 20 **Rina:** I will mark the open ¹⁰ _____ and frame the decision for confirmation. The workshop can then compare options against the same objective instead of debating several different meanings of growth.

ANSWERS / EXPLANATIONS: PAGE 77

1. strategic mandate | 2. baseline | 3. objective | 4. time horizon | 5. strategic option | 6. diagnosis | 7. issue tree | 8. assumption register | 9. decision rights | 10. success criteria

A market-entry label hides the outcome

F Say it

A sponsor proposes opening an overseas office but has not stated the intended business outcome or budget. The team has no authority to sign a lease.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

objective / option / lease / unagreed

Analyst: "An overseas office is a possible ¹ _____."

Sponsor: "We first need to define the ² _____."

Analyst: "The spending limit remains ³ _____."

Sponsor: "This discussion does not authorize a ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 77

1. option | 2. objective | 3. unagreed | 4. lease

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Two priorities competing for the same specialist team

A Read the situation

Make a strategic trade-off explicit when two attractive initiatives cannot both fit the available capacity.

For the next quarter, a service business has 160 specialist-weeks available after existing commitments. Improving the core service requires 120 specialist-weeks; entering an adjacent segment requires 100. Both need the same specialists. A draft strategy says to deliver both in full next quarter without explaining the 60-week shortfall. No additional hiring, outsourcing, or reduced scope has been approved. Strategy manager Sana and business-unit head Victor must compare choices and sequencing without treating ambition as extra capacity.

PEOPLE / Sana: Strategy manager | Victor: Business-unit head

MAKE THE CONFLICT VISIBLE BEFORE ASKING FOR A CHOICE

A leader may call two initiatives priorities because both have merit. Respect that ambition while showing the shared resource they consume. A useful challenge quantifies the conflict, names the alternatives, and distinguishes an authorized commitment from a proposal for more capacity.

Briefing checks

Circle one answer in each item. Use the briefing.

1. How much capacity do both full initiatives require?

- A 160 specialist-weeks
- C 100 specialist-weeks

- B 120 specialist-weeks
- D 220 specialist-weeks

2. What is the shortfall against available capacity?

- A 40 specialist-weeks
- C 320 specialist-weeks

- B 20 specialist-weeks
- D 60 specialist-weeks

3. Which assumption is unsupported?

- A The available capacity is after existing commitments.
- C Extra staffing or reduced scope has already been approved.

- B Full delivery of both exceeds current capacity.
- D Both initiatives use the same specialists.

Answers and explanations: page 78.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

strategic ambition

The overall level or direction of desired achievement.

IN USE articulate the strategic ambition

where to play

The markets, customers, or activities selected for competition.

IN USE define where to play

how to win

The proposed basis for succeeding in the chosen arena.

IN USE explain how to win

trade-off

A choice that sacrifices one benefit to obtain another.

IN USE make the trade-off explicit

opportunity cost

The value of the next-best alternative forgone.

IN USE assess opportunity cost

capacity constraint

A limit imposed by the amount of usable resources.

IN USE quantify the capacity constraint

resource envelope

The total resources available within defined boundaries.

IN USE work within the resource envelope

core business

The established activities central to the company's current operation.

IN USE strengthen the core business

adjacency

A related market or activity beyond the current core.

IN USE evaluate an adjacency

strategic focus

Concentration on a selected set of choices and priorities.

IN USE maintain strategic focus

differentiation

A relevant distinction that gives customers a reason to choose an offering.

IN USE substantiate differentiation

cost advantage

A relative cost position that can support competitive performance.

IN USE test the cost advantage

Precision check

The resource gap is 60 specialist-weeks, not 60 people and not automatically a cash budget of any particular size. Available capacity already excludes existing commitments. Do not count the same specialist time twice or treat an unapproved recruitment idea as immediately usable capacity.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

competitive positioning

The chosen place and proposition relative to alternatives.

IN USE clarify competitive positioning

activity system

A set of mutually supporting activities that deliver a strategy.

IN USE align the activity system

strategic fit

Compatibility among choices, capabilities, and the intended direction.

IN USE assess strategic fit

operational effectiveness

Performing activities well relative to their required standard or alternatives.

IN USE improve operational effectiveness

cannibalization

New activity taking demand or resources from an existing offering.

IN USE estimate cannibalization

sequencing

Ordering initiatives over time according to priorities and dependencies.

IN USE agree the sequencing

phased rollout

Introduction through defined stages rather than all at once.

IN USE propose a phased rollout

minimum viable scope

The smallest scope sufficient for the specified purpose or learning goal.

IN USE define minimum viable scope

deprioritization

A decision to give an activity less priority or delay it.

IN USE document deprioritization

stop-doing list

An explicit set of activities to discontinue or suspend.

IN USE maintain a stop-doing list

resource bottleneck

A resource whose limited availability restricts overall progress.

IN USE identify the resource bottleneck

commitment

An agreed allocation or obligation rather than a tentative proposal.

IN USE distinguish a commitment from an option

Precision check

Doing both may be feasible only with a changed sequence, scope, or resource plan. Those are options to evaluate, not facts that repair the current plan. The strategic choice also needs the relative value and evidence for each route, not just the fact that one requires fewer weeks.

Phrases you can actually use

C Notice the language / 1 of 2

RESPECT THE AMBITION

"Both initiatives may have value, but the current plan does not fit."

NAME THE GAP

"We are short by 60 specialist-weeks."

REQUEST THE CHOICE

"Which outcome takes priority if we cannot deliver both in full?"

AVOID INVENTED RESOURCES

"No extra hiring or outsourcing has been approved."

SHOW THE ARITHMETIC

"The two initiatives require 220 specialist-weeks against 160 available."

IDENTIFY THE SHARED RESOURCE

"Both proposals depend on the same specialist team."

OFFER ALTERNATIVES

"We can compare sequencing, reduced scope, or a properly approved capacity plan."

CLOSE WITH A COMMITMENT

"The final plan must name what happens now and what waits."

Both are priorities

The statement does not resolve an actual competition for shared resources.

Now versus later

Sequencing can change timing without pretending that every initiative fits today.

Requires versus has

Separate the resource demand from the capacity already available.

Phrases you can actually use

C Notice the language / 2 of 2

TEST THE ARENA

"Which segment are we choosing to serve first?"

PRESERVE THE DISTINCTION

"Operational improvement and a new market position are not identical choices."

CHECK THE RAMP

"New staff would need realistic onboarding and availability assumptions."

RECORD THE NON-CHOICE

"The strategy should state what we are not committing to this quarter."

EXPLAIN THE ADVANTAGE

"Why would customers choose us in that segment?"

NAME THE SACRIFICE

"Funding this route means delaying or reducing another use of the team."

LIMIT A PILOT

"A smaller scope should answer a defined question."

CONFIRM THE UNITS

"These figures are specialist-weeks, not headcount."

Could add capacity

This introduces a proposal and its dependencies, not an existing resource.

Foregone alternative

Name the specific next-best use when explaining opportunity cost.

Full scope

Keep this qualifier when a smaller pilot might fit but the original commitments do not.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which statement reports the constraint precisely?

- A** Full delivery needs 220 specialist-weeks, exceeding current capacity by 60.
- B** Full delivery fits because each initiative alone is below 160.
- C** The shortage is 60 permanent employees.
- D** Existing commitments can be ignored because the numbers are strategic.

2. Which proposal is correctly described as an option?

- A** Count each specialist twice because the initiatives have different sponsors.
- B** Evaluate a phased approach without claiming it is already approved.
- C** Report unapproved outsourcing as existing capacity.
- D** Promise both full launches and omit the shared team.

3. Which question addresses how to win?

- A** How can we avoid mentioning the competing use of staff?
- B** Can the target segment itself prove an advantage?
- C** Why would the chosen customers prefer our offering to alternatives?
- D** Which font makes the strategy look more confident?

4. Which conclusion follows from the resource data alone?

- A** Both full initiatives cannot fit the stated capacity without a change.
- B** The lower-resource initiative is necessarily the better strategy.
- C** The adjacent market is guaranteed to be unprofitable.
- D** The core initiative has no opportunity cost.

Answers and explanations: page 78.

Two priorities competing for the same specialist team

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

sequencing / where to play / commitment / capacity constraint / stop-doing list / how to win / minimum viable scope / resource envelope / resource bottleneck / opportunity cost

- 01 **Victor:** I want the core-service improvement and the adjacent-segment launch in next quarter's strategy. They both matter, and choosing only one feels too cautious.
- 02 **Sana:** Both may be worthwhile, but we need to show the ¹ _____. The team has one hundred sixty specialist-weeks available after existing commitments, while the two proposals together require two hundred twenty.
- 03 **Victor:** So the gap is sixty specialist-weeks. Each initiative looked manageable when I reviewed its request separately, but they draw on the same people.
- 04 **Sana:** Exactly. The shared ² _____ does not disappear because the proposals have different sponsors. The current wording promises more full-scope work than the available team can deliver.
- 05 **Victor:** Could we simply mark both as top priorities and ask the team to find efficiencies? That would avoid delaying either objective at this stage.
- 06 **Sana:** A priority label does not expand our ³ _____ by sixty weeks. We can investigate efficiency changes, but they need evidence before we use them to support a delivery commitment.
- 07 **Victor:** Then we need to explain what each route would achieve. Improving our core service and entering a new segment are not the same strategic choice.
- 08 **Sana:** Right. The ⁴ _____ question identifies the customers and arena. We also need the reason we could succeed there, rather than treat entry itself as evidence of an advantage.
- 09 **Victor:** For the adjacent segment, the proposal mostly describes its size. It says less about why customers would choose our service over the alternatives.
- 10 **Sana:** That leaves ⁵ _____ unresolved. The comparison needs the offer, capabilities, and evidence of customer preference, not just the appeal of a larger addressable audience.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 19.

- 11 **Victor:** If we commit the team to the core improvement first, the adjacent launch would wait. That delay has a cost even if no extra cash is spent.
- 12 **Sana:** Yes, identify the ⁶ _____. We should explain the forgone alternative in the decision, rather than present staff allocation as free because the salaries are already budgeted.
- 13 **Victor:** Could we do part of one initiative first, then use what we learn before committing the rest? I do not want a smaller project that proves nothing.
- 14 **Sana:** A ⁷ _____ needs a defined purpose. We can assess a bounded pilot, but should not quietly describe that smaller effort as delivering the original full launch.
- 15 **Victor:** Hiring is another possibility, although we have no approval and new specialists would need time before they could contribute fully.
- 16 **Sana:** Then compare it with ⁸ _____, including realistic onboarding and funding conditions. Neither a hiring idea nor a later phase should be reported as already available next-quarter capacity.
- 17 **Victor:** The final recommendation should say which activities we commit to now and which we delay or reduce. Otherwise the same conflict will return during execution.
- 18 **Sana:** Include a specific ⁹ _____ where relevant, with consequences. We need a feasible set of activities, not a longer list of priorities with the same limited resources.
- 19 **Victor:** I will bring the relative value and customer evidence into the decision. The capacity calculation tells us that the current combination cannot stand unchanged.
- 20 **Sana:** And the approved ¹⁰ _____ should reflect that choice. We can keep the ambition while making the timing, scope, and resource trade-off explicit enough for the team to execute.

ANSWERS / EXPLANATIONS: PAGE 79

1. capacity constraint | 2. resource bottleneck | 3. resource envelope | 4. where to play | 5. how to win | 6. opportunity cost | 7. minimum viable scope | 8. sequencing | 9. stop-doing list | 10. commitment

Two pilots still share one team

F Say it

A team has 90 analyst-days available. Pilot A needs 55 days and Pilot B needs 50. No additional capacity or scope reduction has been approved.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

choice / 105 / capacity / 15

Lead: "The combined requirement is ¹ _____ analyst-days."

Analyst: "That exceeds available capacity by ² _____ days."

Lead: "We need an explicit resource or sequencing ³ _____."

Analyst: "Neither proposal creates extra ⁴ _____ by itself."

ANSWERS / EXPLANATIONS: PAGE 79

1. 105 | 2. 15 | 3. choice | 4. capacity

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

A large industry is not the company's available market

A Read the situation

Narrow a market-size claim and distinguish addressable spending, assumed capture, and available profit.

A presentation labels \$10 billion of annual industry spending as the company's immediate opportunity. The company can serve only a segment estimated at \$400 million, of which \$120 million lies in its current service geography. A separate model assumes a 10% share of that \$120 million, implying \$12 million annual revenue, but the share assumption has not been validated. No segment profit data or customer-switching evidence are supplied. Strategy analyst Kai and commercial director Yara must rebuild the claim without turning an estimate into a forecast.

PEOPLE / Kai: Strategy analyst | Yara: Commercial director

A SMALLER DENOMINATOR CAN MAKE A STRONGER ARGUMENT

Narrowing a market estimate is not necessarily pessimism. It can show that the team understands whom the company can actually serve. Explain each filter and the evidence still needed for capture, instead of presenting a large industry total as a sales opportunity already within reach.

Briefing checks

Circle one answer in each item. Use the briefing.

1. Which figure describes the segment within the current service geography?

- | | |
|------------------------|--|
| A \$400 million | B \$12 million of confirmed sales |
| C \$120 million | D \$10 billion |

2. What revenue does the 10% share assumption imply?

- | | |
|---------------------------------|--------------------------------|
| A \$1 billion annually | B \$12 million annually |
| C \$120 million annually | D \$40 million annually |

3. What is not supplied?

- | | |
|--|--|
| A A stated geographic spending estimate | B A numerical share assumption |
| C The total-industry spending figure | D Segment profit data and customer-switching evidence |

Answers and explanations: [page 80](#).

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

market boundary

The definition of customers, products, and geography included in an analysis.

IN USE specify the market boundary

total addressable market

Total demand within a clearly defined offering and market boundary.

IN USE define the total addressable market

serviceable available market

The portion of defined demand the business can serve with its offering and reach.

IN USE estimate the serviceable available market

serviceable obtainable market

The portion of serviceable demand realistically targeted for capture under stated assumptions.

IN USE support the serviceable obtainable market

top-down estimate

An estimate derived by narrowing a larger aggregate.

IN USE qualify a top-down estimate

bottom-up estimate

An estimate built from smaller units such as accounts, usage, and prices.

IN USE construct a bottom-up estimate

capture assumption

An assumed share of available demand won by the company.

IN USE test the capture assumption

market share

A company's sales or volume relative to a defined market total.

IN USE state the market-share denominator

industry structure

The configuration of participants and forces shaping competition.

IN USE analyze industry structure

profit pool

The total profits available in a defined set of activities or segments.

IN USE map the profit pool

value chain

The linked activities that create and deliver an offering.

IN USE analyze the value chain

value capture

The portion of created value retained by a participant.

IN USE explain value capture

Precision check

TAM means total addressable market; SAM, serviceable available market; SOM, serviceable obtainable market. Define each boundary. Industry spending is not automatically the TAM for a narrow offer, and an assumed share is not demonstrated demand.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

buyer power

Customers' ability to influence prices or terms.

IN USE assess buyer power

supplier power

Input providers' ability to influence prices or terms.

IN USE assess supplier power

rivalry

Competition among existing participants.

IN USE evaluate competitive rivalry

substitute

An alternative way to meet the same underlying need.

IN USE identify substitutes

barrier to entry

A condition making entry more difficult or costly.

IN USE evaluate barriers to entry

switching cost

The cost or difficulty of changing providers or approaches.

IN USE investigate switching costs

concentration

The degree to which activity is held by a few participants.

IN USE measure customer concentration

price elasticity

Responsiveness of demand to price changes on a stated basis.

IN USE estimate price elasticity

channel access

The ability to reach customers through relevant distribution routes.

IN USE secure channel access

regulatory barrier

An applicable rule or authorization requirement affecting participation.

IN USE verify regulatory barriers

market segmentation

Division of demand into relevant customer or usage groups.

IN USE refine market segmentation

competitive response

A rival's possible or observed reaction to a company's move.

IN USE assess competitive responses

Precision check

Revenue spending and a profit pool are different quantities. Capturing 10% of \$120 million would imply \$12 million revenue under the supplied simplified assumption, not \$12 million profit. It also needs a time basis, customer evidence, capacity, and a defensible path to winning demand.

Phrases you can actually use

C Notice the language / 1 of 2

03

CHALLENGE THE BOUNDARY

"The \$10 billion figure includes demand we cannot currently serve."

NAME THE ASSUMPTION

"Ten percent capture is a modeling input, not a validated result."

SEPARATE PROFIT

"Market spending does not establish the profit available to us."

CHECK THE ROUTE

"We need evidence of access, buying behavior, and delivery capacity."

APPLY THE FILTERS

"The relevant segment is \$400 million, with \$120 million in our geography."

SHOW THE ARITHMETIC

"That assumption implies \$12 million annual revenue."

REQUEST CUSTOMER EVIDENCE

"What would make accounts switch from their current approach?"

CLOSE WITH DEFINITIONS

"Show the market boundary, filters, and capture assumptions together."

Of which

This phrase identifies a subset and prevents adding nested market figures together.

Available versus obtainable

Ability to serve a market is different from evidence that the company can win it.

Assuming

Keep the condition attached to the result it generates.

Phrases you can actually use

C Notice the language / 2 of 2

03

DISTINGUISH COMPETITION

"A substitute may solve the same need in a different way."

AVOID A SHARE PROMISE

"The model does not guarantee that we will win those sales."

CLARIFY THE UNIT

"Are we measuring revenue, volume, accounts, or profit?"

TEST REACTION

"How might existing competitors respond to entry?"

CHECK LEVERAGE

"Which buyers or suppliers can influence the terms?"

USE A SECOND METHOD

"A bottom-up estimate can test the top-down calculation."

KEEP GEOGRAPHY VISIBLE

"The current service area limits the relevant opportunity."

PRESERVE UNCERTAINTY

"We have a bounded estimate, with capture still to validate."

Revenue versus profit

Revenue does not subtract the relevant costs or establish retained value.

Same need

A substitute need not be a direct product copy to compete for customer spending.

Current reach

This qualifier distinguishes present service ability from a future expansion option.

Choose the precise message

D Check your understanding

03

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which market statement is accurate?

- A** The three nested market figures should be added together.
- B** A 10% share input proves \$12 million of signed orders.
- C** Current reach covers an estimated \$120 million segment; capture is unvalidated.
- D** The company has immediate access to all \$10 billion of industry spending.

2. What does \$12 million represent in the model?

- A** Revenue already under contract
- B** Annual revenue implied by the assumed share
- C** Verified annual profit
- D** An approved acquisition budget

3. Which evidence would most directly test capture?

- A** A share percentage chosen only to fit the target
- B** Account-level need, switching behavior, route to market, and realistic delivery capacity
- C** The industry total alone repeated in a larger font
- D** A competitor's unrelated employee count

4. Which distinction is correct?

- A** A profit pool concerns profits, while the supplied market figures concern spending.
- B** Every dollar of spending is profit available to one entrant.
- C** Customer power cannot affect terms in a growing industry.
- D** A substitute must have exactly the same product design.

Answers and explanations: [page 80](#).

A large industry is not the company's available market

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

barriers to entry / capture assumption / market boundary / bottom-up estimate / buyer power / profit pool / switching costs / substitute / serviceable available market / total addressable market

- 01 **Yara:** The opening slide says we have a ten-billion-dollar immediate opportunity. It sounds compelling, but that number is total industry spending, not just our service.
- 02 **Kai:** We need to define the ¹ _____ before labeling the opportunity. The company can serve one segment, estimated at four hundred million, rather than every category included in that total.
- 03 **Yara:** People often call the largest number TAM. Would that be a harmless shorthand if we explain the smaller segment later in the presentation?
- 04 **Kai:** Not if the ² _____ label makes the whole industry look relevant to our offering. The definition should match the actual demand we are describing, not simply the largest available figure.
- 05 **Yara:** Within the segment, only one hundred twenty million is in our current service geography. We would need a separate expansion plan for the rest.
- 06 **Kai:** That geographic filter narrows the ³ _____ under our current reach. We should show the filter explicitly, rather than let readers assume we can serve the entire segment immediately.
- 07 **Yara:** The revenue model takes ten percent of that one hundred twenty million. That produces twelve million a year, but the percentage was selected as an initial assumption.
- 08 **Kai:** Then call it a ⁴ _____. The arithmetic is twelve million annual revenue, conditional on that share, not evidence that the accounts are already willing to buy.
- 09 **Yara:** I also do not see margin information. A large amount of spending could leave limited profit after the activities required to serve it.
- 10 **Kai:** Correct. We have not established the ⁵ _____. We need to understand costs and where value is retained, instead of relabeling every revenue dollar as profit available to us.

The conversation, continued

E Conversations / turns 11-20

03

Continue with the word bank on page 28.

- 11 **Yara:** Some segments have a few large customers that negotiate hard. Our market-size estimate does not tell us what terms those customers would accept.
- 12 **Kai:** That is a ⁶ _____ question. The competitive analysis needs to examine the relevant relationships and alternatives, not assume that market growth removes negotiating pressure.
- 13 **Yara:** The account team also says customers may find it difficult to change providers. We should test that rather than assume interest means easy conversion.
- 14 **Kai:** Yes, investigate ⁷ _____. Migration effort, disruption, and contractual conditions may matter, but the current evidence has not quantified them for this segment.
- 15 **Yara:** A customer might also solve the problem internally. That option would not appear on a list of companies selling the same service as ours.
- 16 **Kai:** It can still be a ⁸ _____. Our analysis should cover alternatives to buying the service, not only organizations whose product description resembles our own.
- 17 **Yara:** Before entering, we also need to know whether distribution access, permissions, or capabilities limit participation. None of that is answered by the share calculation.
- 18 **Kai:** Those are possible ⁹ _____. We should identify and verify the relevant ones, then reflect them in the entry options rather than leave them outside the model.
- 19 **Yara:** I will revise the slide to show industry context, the segment, our geography, and the unvalidated share input. The twelve-million result stays conditional.
- 20 **Kai:** I will add a ¹⁰ _____ using potential accounts and realistic usage assumptions. That will give us a more useful test of the opportunity than repeating a large industry total.

ANSWERS / EXPLANATIONS: PAGE 81

1. market boundary | 2. total addressable market | 3. serviceable available market | 4. capture assumption | 5. profit pool | 6. buyer power | 7. switching costs | 8. substitute | 9. barriers to entry | 10. bottom-up estimate

Nested market figures are not additive

F Say it

A report estimates a \$900 million category, including a \$200 million target segment. Of that segment, \$80 million is in the current region. The figures describe nested groups.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

explicit / subset / eighty / spending

Analyst: "The current-region estimate is ¹ _____ million dollars."

Director: "It is a ² _____ of the target segment."

Analyst: "Adding the nested figures would double-count ³ _____."

Director: "Keep the boundary and geography ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 81

1. eighty | 2. subset | 3. spending | 4. explicit

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

More orders, more negative contribution

04

A Read the situation

Explain a growing service's economics and challenge an unsupported claim that scale alone will solve the loss.

A new service charges \$100 per completed job and incurs \$115 in variable delivery costs per job. Monthly completed jobs increased from 1,000 to 1,500, with price and variable cost per job unchanged. Fixed costs, acquisition costs, and taxes are excluded from these figures. A slide calls rising revenue proof of a sound business model. Business lead Mei and finance partner Hugo must explain the negative contribution and identify what would need to change before higher volume could support profitability.

PEOPLE / Mei: Business lead | Hugo: Finance partner

PROTECT THE LEARNING WITHOUT DEFENDING THE MISTAKEN CONCLUSION

Revenue growth can show interest while exposing a delivery problem. Acknowledge what the growth demonstrates, then show the cost bridge. This lets the team investigate pricing, service design, and capabilities without equating a challenge to the economics with opposition to innovation.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is contribution per job before the excluded costs?

- A Negative \$115
- C Positive \$15

- B Negative \$15
- D Positive \$100

2. What is monthly contribution at 1,500 jobs?

- A Positive \$150,000
- C Positive \$22,500

- B Negative \$15,000
- D Negative \$22,500

3. What stayed unchanged as volume rose?

- A Total monthly revenue
- C The number of completed jobs

- B Total monthly contribution
- D Price and variable delivery cost per job

Answers and explanations: page 82.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

business model

The logic by which a business creates, delivers, and captures value.

IN USE test the business model

unit economics

Revenue and cost relationships for a defined unit of activity.

IN USE analyze unit economics

revenue model

The way an offering generates income from customers.

IN USE clarify the revenue model

monetization

Converting an offering or usage into revenue.

IN USE evaluate the monetization approach

variable cost

A cost that changes with the relevant level of activity.

IN USE identify variable delivery costs

fixed cost

A cost treated as unchanged within a stated activity range and period.

IN USE define the fixed-cost base

contribution

Revenue less the specified variable costs, before other excluded costs.

IN USE calculate unit contribution

contribution margin ratio

Contribution divided by revenue on a stated basis.

IN USE calculate the contribution margin ratio

gross margin

Revenue less cost of goods or services sold, expressed as an amount or ratio.

IN USE define the gross-margin basis

operating leverage

Sensitivity of operating profit to revenue changes given the cost structure.

IN USE assess operating leverage

break-even volume

The volume at which revenue covers the included costs under stated assumptions.

IN USE calculate break-even volume

cost to serve

Costs associated with delivering and supporting an offering for a customer.

IN USE analyze cost to serve

Precision check

The service loses \$15 of contribution per job on the stated revenue and variable-cost basis. At 1,000 jobs the contribution is negative \$15,000; at 1,500 it is negative \$22,500. Fixed and acquisition costs are excluded, so these are not complete operating-profit figures.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

customer acquisition cost

The cost of acquiring a customer under a defined cost and customer basis.

IN USE verify customer acquisition cost

customer lifetime value

Estimated value generated over a customer relationship under a stated model.

IN USE qualify customer lifetime value

payback period

Time required to recover an investment or acquisition cost on a defined basis.

IN USE estimate the payback period

retention

Continued customer participation or spending under a stated measure.

IN USE measure customer retention

churn

Customer or revenue loss over a defined period and base.

IN USE distinguish customer churn from revenue churn

cohort economics

Revenue and costs tracked for a group with shared entry characteristics.

IN USE compare cohort economics

scalability

Ability to grow activity without proportionate deterioration in performance or economics.

IN USE test scalability

economies of scale

Cost advantages associated with increased scale under relevant conditions.

IN USE substantiate economies of scale

learning curve

Changes in performance or cost associated with accumulated experience.

IN USE estimate the learning curve

capability gap

A missing ability required to deliver the intended strategy.

IN USE close a capability gap

defensibility

The extent to which an advantage can resist imitation or erosion.

IN USE test defensibility

willingness to pay

The amount customers are prepared to pay under relevant conditions.

IN USE assess willingness to pay

Precision check

Spreading fixed costs across more units does not repair a negative contribution per unit if price and variable costs remain unchanged. A credible scale argument must explain the mechanism that improves pricing, variable delivery cost, or the service model rather than relying on volume alone.

Phrases you can actually use

C Notice the language / 1 of 2

ACKNOWLEDGE DEMAND

"More completed jobs show higher volume, not automatically a sound model."

SHOW THE BRIDGE

"Each \$100 of job revenue carries \$115 of variable delivery cost."

CHALLENGE THE SCALE CLAIM

"More volume at unchanged unit economics increases the negative contribution."

KEEP THE EXCLUSIONS

"Fixed costs, acquisition costs, and taxes are not included here."

DEFINE THE UNIT

"We are measuring one completed job."

NAME THE RESULT

"Contribution is negative \$15 per job before the excluded costs."

REQUEST THE MECHANISM

"Which specific change would improve price or variable cost?"

CLOSE WITH EVIDENCE

"Test the proposed economics before treating scale as the solution."

Per job versus total

Keep the unit result separate from the aggregate effect of a volume change.

Before excluded costs

This phrase limits what the stated result includes.

At unchanged economics

The condition is essential to the conclusion about higher volume.

Phrases you can actually use

C Notice the language / 2 of 2

SEPARATE METRICS

"Revenue growth and profitability answer different questions."

AVOID RELABELING

"This contribution figure is not complete operating profit."

EXAMINE DELIVERY

"Which capability or process change could reduce cost to serve?"

QUALIFY THE FORECAST

"A lower future unit cost remains an assumption until supported."

CHECK THE COST BASE

"Does the delivery figure include every relevant variable item?"

TEST PRICING

"We need evidence of willingness to pay before assuming a higher price."

USE COHORTS

"Compare customers on a consistent cost and time basis."

PRESERVE THE OPTION

"We can investigate the model without declaring it proven or impossible."

Could improve

A potential cost mechanism is not a demonstrated operating improvement.

Contribution versus profit

Contribution subtracts specified variable costs, not every expense.

Proof of

This phrase requires stronger evidence than one favorable revenue trend.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which statement correctly combines growth and economics?

- A** Revenue growth proves all fixed costs are covered.
- B** Higher volume automatically turns negative unit contribution positive.
- C** The excluded acquisition costs must be zero.
- D** Revenue rose, but unchanged negative contribution per job made total contribution more negative.

2. What happened to revenue between the two volumes?

- A** It stayed at \$115,000 monthly.
- B** It became identical to operating profit.
- C** It rose from \$100,000 to \$150,000 monthly.
- D** It fell from \$150,000 to \$100,000 monthly.

3. Which evidence would support a better scale argument?

- A** A verified mechanism reducing variable cost per job or improving realized price
- B** The same unit loss repeated over more jobs
- C** A larger target market with no delivery changes
- D** Reclassifying variable costs as nonexistent

4. Which metric is not fully determined by the supplied figures?

- A** Variable delivery cost per job
- B** Contribution per job
- C** Operating profit
- D** Revenue per job

Answers and explanations: [page 82](#).

More orders, more negative contribution

E Conversations / turns 1-10

04

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

cost to serve / learning curve / willingness to pay / scalability / variable cost / cohort economics / break-even volume / contribution / unit economics / customer acquisition cost

- 01 **Mei:** Completed jobs rose from one thousand to fifteen hundred this month. The slide says that revenue growth proves the new service has a sound business model.
- 02 **Hugo:** It shows higher volume, but we need the ¹ _____. Each completed job brings in one hundred dollars and incurs one hundred fifteen dollars of variable delivery cost.
- 03 **Mei:** Then the service gives up fifteen dollars on each job before we include fixed costs. I do not want to hide that behind the revenue line.
- 04 **Hugo:** Correct. The ² _____ is negative fifteen dollars per job. It was negative fifteen thousand for one thousand jobs and is negative twenty-two thousand five hundred for fifteen hundred.
- 05 **Mei:** Revenue still increased from one hundred thousand to one hundred fifty thousand. We should explain both changes rather than make either one disappear.
- 06 **Hugo:** Yes. Higher demand and the ³ _____ are separate parts of the story. More completed work can reveal customer interest while increasing the amount lost on the current delivery basis.
- 07 **Mei:** Someone suggested that scale spreads fixed costs, so we should keep growing until the arithmetic fixes itself. Does that address the actual problem?
- 08 **Hugo:** Not while ⁴ _____ per job remains above price. Spreading fixed expenses over more jobs cannot reverse the negative contribution generated by every additional job in this model.
- 09 **Mei:** So we cannot calculate a positive break-even volume by dividing a fixed-cost number by a contribution that remains negative.
- 10 **Hugo:** Exactly. A useful ⁵ _____ requires an economically meaningful model. We need a change in price, variable delivery cost, or the service itself before volume can cover the additional included costs.

The conversation, continued

E Conversations / turns 11-20

04

Continue with the word bank on page 37.

- 11 **Mei:** The operations team believes repeated work could reduce delivery time. That might matter, but their estimate has not been tested yet.
- 12 **Hugo:** Then describe the proposed ⁶ _____ and the evidence needed. We should identify the mechanism and measurement, not simply assume that every service becomes cheaper as volume rises.
- 13 **Mei:** A higher price is another possibility, although the current demand was observed at one hundred dollars. We cannot assume it would remain unchanged.
- 14 **Hugo:** We need evidence of ⁷ _____ at the revised offer. A pricing scenario should show its assumptions about volume and retention instead of lifting revenue with no behavioral consequence.
- 15 **Mei:** We also left customer acquisition costs out of these figures. Even an improved delivery contribution would not automatically mean the whole customer relationship is profitable.
- 16 **Hugo:** Correct. Include the relevant ⁸ _____ and other omitted items in the fuller analysis. Keep the current calculation clearly labeled so it is not mistaken for complete operating profit.
- 17 **Mei:** Some customers may use the service repeatedly, while others use it once. An overall average could hide very different patterns.
- 18 **Hugo:** That is where ⁹ _____ can help. We need consistent definitions and enough follow-up to compare groups, rather than calling all customers equally valuable from one month's total.
- 19 **Mei:** I will revise the slide: demand increased, but current contribution remains negative. We need to test the pricing and delivery changes before expanding on the same basis.
- 20 **Hugo:** That is a sound test of ¹⁰ _____. The service may have options worth exploring, but growth alone has not proved that the business model creates a sustainable positive return.

ANSWERS / EXPLANATIONS: PAGE 83

1. unit economics | 2. contribution | 3. cost to serve | 4. variable cost | 5. break-even volume | 6. learning curve | 7. willingness to pay | 8. customer acquisition cost | 9. cohort economics | 10. scalability

A positive contribution, with stated fixed costs

F Say it

04

A simplified service charges \$120 per job, has \$90 variable cost per job, and \$15,000 monthly fixed costs. Assume constant unit economics and no other costs for this exercise.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

assumptions / thirty / fifteen thousand / five hundred

Analyst: "Contribution per job is ¹ _____ dollars."

Lead: "The included fixed cost is ² _____ dollars monthly."

Analyst: "Break-even volume is ³ _____ jobs."

Lead: "That answer depends on the stated ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 83

1. thirty | 2. fifteen thousand | 3. five hundred | 4. assumptions

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

A budget choice with no stop-doing consequences

A Read the situation

05

Compare competing investment requests on a consistent basis and expose displaced work and sunk-cost reasoning.

Two divisions each request \$2 million from a \$3 million investment envelope. Alpha projects \$700,000 annual gross savings and Beta \$900,000, but implementation timing, ongoing costs, and benefit validation are incomplete. Each proposal currently assumes full funding; neither identifies the work that would stop or wait. Alpha has already spent \$400,000 on a completed feasibility study that cannot be recovered. Portfolio lead Ivo and finance director Grace must frame the allocation decision without treating gross savings as net value or past spending as automatic justification.

PEOPLE / Ivo: Portfolio lead | Grace: Finance director

A DISCIPLINED COMPARISON IS NOT A CONTEST BETWEEN SPONSORS

Division leaders may defend their projects with different metrics or emotional appeals to prior effort. Put the proposals on a shared basis and make the opportunity cost visible. Challenge the comparison method without implying that a team's past work was pointless or that one favorable headline decides the allocation.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What funding gap exists if both full requests are accepted?

- | | |
|----------------------|----------------------|
| A \$3 million | B \$4 million |
| C \$1 million | D \$2 million |

2. What do the \$700,000 and \$900,000 figures represent?

- | | |
|--|--|
| A Amounts already saved in the current year | B Projected annual gross savings with incomplete validation |
| C Verified annual net cash flows after every cost | D Guaranteed shareholder returns |

3. How should the completed \$400,000 study be treated in the forward choice?

- | | |
|--|---|
| A As a future incremental cost identical to the new request | B As an unrecoverable past cost, not automatic justification to continue |
| C As cash still available to fund either proposal | D As proof Alpha must receive full funding |

Answers and explanations: [page 84](#).

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

portfolio strategy

The approach to managing a set of businesses or investments together.

IN USE review the portfolio strategy

capital allocation

Distribution of financial resources among competing uses.

IN USE defend the capital allocation

investment envelope

The total authorized resources available for a set of investments.

IN USE respect the investment envelope

capital rationing

Selection among investments when available funding is limited.

IN USE account for capital rationing

resource reallocation

Moving resources from one use to another.

IN USE plan resource reallocation

investment case

The rationale, economics, risks, and implementation plan for a proposed investment.

IN USE strengthen the investment case

incremental cash flow

Cash flow that changes because an option is chosen.

IN USE estimate incremental cash flows

sunk cost

An incurred cost that cannot be recovered or changed by the current decision.

IN USE separate sunk costs

avoidable cost

A cost that can be prevented by choosing a particular course of action.

IN USE identify avoidable costs

committed cost

A cost arising from an existing commitment that may not be easily changed.

IN USE review committed costs

benefit realization

Actual achievement and verification of intended benefits.

IN USE track benefit realization

gross benefit

A benefit before the relevant offsetting costs are deducted.

IN USE qualify gross benefits

Precision check

The full requests total \$4 million, so they cannot both fit a \$3 million envelope unchanged. A \$1.5 million allocation to each is not automatically a feasible compromise because both current scopes assume \$2 million. Reduced funding needs a revised delivery and benefit case.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

net benefit

Benefits less the included costs under a specified basis.

IN USE calculate net benefits

net present value

Discounted future net cash flows less the relevant initial investment.

IN USE compare net present values

internal rate of return

A discount rate at which the modeled net present value is zero.

IN USE qualify the internal rate of return

hurdle rate

A required return threshold used to evaluate an investment.

IN USE apply the hurdle rate

weighted average cost of capital

A weighted measure of the required returns on a company's financing sources.

IN USE justify the cost-of-capital assumption

return on invested capital

Operating return relative to invested capital on a defined accounting basis.

IN USE define return on invested capital

capital intensity

The amount of capital required relative to output, sales, or another stated base.

IN USE assess capital intensity

divestment

Disposal of a business, investment, or asset.

IN USE evaluate a divestment

harvest strategy

A strategy emphasizing cash extraction with limited further investment.

IN USE assess a harvest strategy

stage-gated funding

Funding released in stages after specified reviews.

IN USE propose stage-gated funding

benefit owner

The person accountable for delivering and verifying a benefit.

IN USE assign the benefit owner

dependency map

A record of relationships that affect delivery or benefits across initiatives.

IN USE build a dependency map

Precision check

Projected gross savings do not establish net value without costs, timing, and evidence. The completed unrecoverable study is a sunk cost. It can contain useful information, but the money already spent does not, by itself, justify another dollar of investment.

Phrases you can actually use

C Notice the language / 1 of 2

STATE THE LIMIT

"Full funding for both requests exceeds the envelope by \$1 million."

DISTINGUISH THE FIGURE

"These are projected gross savings, not validated net cash flows."

SEPARATE THE PAST

"The feasibility study is unrecoverable past spending."

TEST PARTIAL FUNDING

"A smaller allocation needs a revised scope and benefit case."

CHECK COMPARABILITY

"Are the benefits measured over the same period and cost basis?"

REQUEST THE CONSEQUENCE

"What work would stop, shrink, or wait if this proposal is funded?"

USE THE LEARNING

"We should use the study's evidence without treating its cost as a reason to continue."

CLOSE WITH A SHARED BASIS

"Compare forward costs, benefits, risks, timing, and displaced alternatives."

Gross versus net

State which costs have been subtracted before comparing benefit figures.

Already spent

This describes the past; it does not determine the value of a new commitment.

Could be saved

A projected saving needs a mechanism, timing, and accountable owner.

Phrases you can actually use

C Notice the language / 2 of 2

NAME THE OWNER

"Who is accountable for realizing each saving?"

EXPLAIN THE TIMING

"When would the cash costs and benefits actually occur?"

AVOID AN AUTOMATIC RANKING

"The larger gross-saving figure does not settle the allocation."

CHECK COMMITMENTS

"Which future costs remain avoidable, and which are already committed?"

CHECK OVERLAP

"Do both proposals claim the same benefit?"

KEEP A GATE MEANINGFUL

"Further funding should depend on the stated evidence and review."

RECORD THE ALTERNATIVE

"Show the best competing use of the limited funds."

LIMIT THE MODEL

"A return estimate is only as reliable as its assumptions and scope."

Full funding versus partial

A reduced allocation may change the scope rather than simply scale benefits proportionally.

From now onward

This phrase focuses a decision on consequences that the current choice can still affect.

Shared basis

Comparable timeframes and definitions matter more than matching slide formats.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which conclusion follows from the budget arithmetic?

- A** Partial funding guarantees both original benefit forecasts.
- B** Both full scopes cannot be funded within the current envelope.
- C** Both fit because each separately costs less than \$3 million.
- D** The completed study increases the envelope to \$3.4 million.

2. Why does Beta's \$900,000 headline not settle the decision?

- A** Alpha's past expenditure automatically outranks all future benefits.
- B** It is gross and unvalidated, with timing and ongoing costs incomplete.
- C** A higher numerical estimate is always less attractive.
- D** No investment can ever be compared using financial information.

3. How should Alpha's study be used?

- A** Exclude all study findings because the cost is sunk.
- B** Use its evidence, but do not treat its unrecoverable cost as automatic justification.
- C** Count the full study cost as new cash available.
- D** Fund Alpha solely to avoid admitting the study was completed.

4. What must accompany a partial-funding option?

- A** A larger font on the original request
- B** No explanation because equal division is inherently optimal
- C** A revised scope, delivery plan, and benefit estimate
- D** An assumption that every benefit remains unchanged

Answers and explanations: [page 84](#).

A budget choice with no stop-doing consequences

E Conversations / turns 1-10

05

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

investment envelope / investment case / incremental cash flows / benefit owner / stage-gated funding / gross benefits / capital allocation / resource reallocation / dependency map / sunk cost

- 01 **Ivo:** Both divisions want two million dollars, but we have three million to allocate. The presentation recommends funding both without explaining the missing million.
- 02 **Grace:** Then the ¹ _____ is not reflected in the recommendation. We need a feasible choice, a changed scope, or a properly authorized increase, not two full commitments against insufficient funds.
- 03 **Ivo:** Beta projects nine hundred thousand in annual savings and Alpha seven hundred thousand. Would ranking those two figures be an adequate first answer?
- 04 **Grace:** They are ² _____, not complete net value. We still need implementation timing, ongoing costs, and evidence supporting the savings before making that comparison decisive.
- 05 **Ivo:** Alpha's sponsor says we have already spent four hundred thousand on the feasibility study, so not proceeding would waste what the team has done.
- 06 **Grace:** That amount is a ³ _____. We should use the study's information, but the unrecoverable spending does not establish that Alpha is the best use of the next dollar.
- 07 **Ivo:** We should distinguish that from a future cost we could avoid by choosing another option. Otherwise every past and future amount gets mixed together.
- 08 **Grace:** Exactly. The comparison needs ⁴ _____ for each option, with clear timing and a consistent basis. Existing commitments and costs we can still avoid require separate treatment.
- 09 **Ivo:** Neither division says what would stop if it receives the money. Their proposals read as though the rest of the portfolio can continue unchanged.
- 10 **Grace:** Require an explicit ⁵ _____ plan. Financial funding may also depend on shared staff, so the displaced work should be visible rather than discovered after approval.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 46.

- 11 **Ivo:** Could we divide the envelope equally and give each division one and a half million? That would look fair and stay within the limit.
- 12 **Grace:** It would fit the cash ceiling, but each ⁶ _____ assumes two million. A smaller allocation needs a revised scope and benefit estimate, not an automatic claim that both original plans remain deliverable.
- 13 **Ivo:** We also need someone responsible for turning the savings into actual results. A forecast can remain on the slide long after the activity changes.
- 14 **Grace:** Name a ⁷ _____ for each material saving, with the baseline and verification method. That makes the post-decision review about realized outcomes rather than repeated promises.
- 15 **Ivo:** Some benefits may depend on the same system change. If both divisions include those savings in full, the combined case could double-count them.
- 16 **Grace:** Build a ⁸ _____ and identify overlaps. We should not add benefits that rely on the same limited resource or represent the same underlying saving without checking the relationship.
- 17 **Ivo:** If the initial evidence is promising but incomplete, we could fund a defined stage and review the result before releasing the rest.
- 18 **Grace:** That is ⁹ _____, provided the gate has real criteria and authority. It should not become a full commitment disguised as a sequence of automatic approvals.
- 19 **Ivo:** The revised recommendation will compare feasible scopes, forward costs, benefit timing, risks, and the alternatives displaced. We will keep the study's useful findings without treating its cost as a mandate.
- 20 **Grace:** Good. The final ¹⁰ _____ should explain why the chosen use of funds is preferable on that shared basis. A larger gross number or a completed study cannot substitute for the decision logic.

ANSWERS / EXPLANATIONS: PAGE 85

1. investment envelope | 2. gross benefits | 3. sunk cost | 4. incremental cash flows | 5. resource reallocation | 6. investment case | 7. benefit owner | 8. dependency map | 9. stage-gated funding | 10. capital allocation

A sunk fee and a new decision

F Say it

A completed, nonrefundable study cost \$30,000. A new pilot would require another \$70,000. The study contains useful evidence, but no pilot approval has been given.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

sunk / evidence / commitment / approval

Analyst: "The completed study fee is a ¹ _____ cost."

Sponsor: "The pilot is a new ² _____."

Analyst: "We should use the study's ³ _____."

Sponsor: "Past spending does not supply pilot ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 85

1. sunk | 2. commitment | 3. evidence | 4. approval

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

A savings headline without an integration plan

A Read the situation

Qualify an acquisition rationale and distinguish recurring potential from timed, net cash benefits.

06

A proposed acquisition case claims \$4 million in annual procurement savings once fully implemented. The estimate assumes combined buying volumes and revised supplier contracts. No supplier has confirmed the proposed terms, and no integration plan or cost-to-achieve estimate exists. The purchase price is outside this meeting. Strategy lead Elena and integration director Marcus must identify the evidence needed before presenting the savings as dependable. The executive committee has authorized analysis only, not a bid. Building internally and forming a partnership remain alternatives.

PEOPLE / Elena: Strategy lead | Marcus: Integration director

CHALLENGE THE BRIDGE, NOT THE AMBITION

A useful challenge identifies the missing steps between an attractive strategic idea and a result. Ask about timing, delivery responsibility, dependencies, and costs without suggesting that uncertainty makes the proposal worthless. A credible case can contain potential value and still require substantial further work.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What does the \$4 million figure describe?

A Potential annual procurement savings after full implementation

C The approved purchase price

B Confirmed first-year net cash savings

D A binding supplier discount

2. What has the committee authorized?

A Analysis of the proposal

C Immediate integration spending of any amount

B Submission of a binding bid

D Signing revised supplier contracts

3. Which information is missing?

A Whether alternatives remain available

C The existence of an acquisition proposal

B An integration plan and cost-to-achieve estimate

D The category of proposed savings

Answers and explanations: page 86.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

acquisition rationale

The explanation of why buying a business may create value.

IN USE test the acquisition rationale

strategic fit

The relationship between an option and the company's objectives and capabilities.

IN USE assess strategic fit

build-buy-partner

A comparison of internal development, acquisition, and collaboration routes.

IN USE compare build-buy-partner options

organic growth

Expansion generated within the business rather than by acquisition.

IN USE pursue organic growth

inorganic growth

Expansion through acquisitions or similar external combinations.

IN USE evaluate inorganic growth

market-entry mode

The arrangement used to enter a market.

IN USE select a market-entry mode

partnership model

The agreed structure for collaborating with another organization.

IN USE define the partnership model

deal thesis

The central value-creation argument for a transaction.

IN USE challenge the deal thesis

synergy

An additional benefit expected from combining activities or businesses.

IN USE validate the synergy estimate

run-rate savings

The recurring savings level expected once changes are fully operating.

IN USE distinguish run-rate savings from first-year cash

gross savings

Savings before specified implementation or offsetting costs.

IN USE state gross savings separately

cost to achieve

Spending required to deliver a proposed benefit.

IN USE estimate the cost to achieve

Precision check

Annual run-rate savings are not automatically cash received during the first year. A change introduced halfway through a year has a different time profile from one operating throughout it. The proposal also needs implementation costs and offsetting effects before anyone labels the benefit net.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

integration roadmap

A sequenced plan for combining selected activities.

IN USE develop the integration roadmap

integration dependency

A prerequisite affecting the delivery of combined operations.

IN USE identify integration dependencies

commercial diligence

Investigation of market and customer assumptions behind a proposal.

IN USE commission commercial diligence

supplier renegotiation

Discussion intended to change existing supplier terms.

IN USE test supplier renegotiation assumptions

revenue dissynergy

Lost revenue associated with the disruption or combination.

IN USE assess potential revenue dissynergies

customer retention

The maintenance of existing customer relationships or revenue.

IN USE protect customer retention

standalone case

Expected performance without the proposed combination.

IN USE establish the standalone case

incremental value

Additional value relative to the chosen comparison case.

IN USE estimate incremental value

double-counting

Including the same underlying benefit or cost more than once.

IN USE eliminate double-counting

execution risk

The possibility that implementation does not deliver the plan.

IN USE assess execution risk

bid authority

Permission to submit an offer within specified limits.

IN USE confirm bid authority

integration owner

The person accountable for a defined integration activity.

IN USE appoint an integration owner

Precision check

Compare the combination with a defined alternative, including standalone performance. Keep standalone improvements separate from acquisition-specific benefits. Counting the same procurement improvement in both categories exaggerates the transaction's incremental value.

Phrases you can actually use

C Notice the language / 1 of 2

QUALIFY THE HEADLINE

"The \$4 million is an unverified annual run-rate estimate."

SEPARATE CASH FROM POTENTIAL

"That is not yet a first-year cash-flow forecast."

TEST THE MECHANISM

"Which supplier terms must change for the savings to occur?"

MARK AUTHORITY

"The committee authorized analysis, not a bid."

ASK ABOUT TIMING

"When would each saving begin, and when would it reach full effect?"

REQUEST IMPLEMENTATION COSTS

"We need the cost to achieve before describing a net benefit."

KEEP ALTERNATIVES OPEN

"We should compare building, buying, and partnering on the same basis."

NAME AN OWNER

"Who is accountable for validating and delivering this saving?"

06

Run rate

Name the fully operating period; do not use the phrase as a synonym for cash already earned.

Net of what

Specify which costs and offsets have been deducted.

Synergy versus standalone

Only an additional combination benefit belongs in the acquisition-specific claim.

Phrases you can actually use

C Notice the language / 2 of 2

DEFINE THE COMPARISON

"What would improve in the standalone business anyway?"

EXPOSE A DEPENDENCY

"This saving depends on successful supplier renegotiation."

QUALIFY STRATEGIC FIT

"Strategic fit supports the rationale but does not establish the price."

SEPARATE DECISIONS

"A positive diligence finding does not itself confer transaction authority."

PREVENT DUPLICATION

"Let us remove benefits already counted in the existing improvement plan."

PROTECT THE COMMERCIAL BASE

"Could integration disrupt the customers we need to retain?"

ASK FOR A BRIDGE

"Show the steps from gross potential to timed net cash flows."

SUMMARIZE THE NEXT GATE

"Return with verified assumptions, delivery costs, timing, and accountable owners."

06

Potential

This word signals an opportunity, not confirmation that the result will occur.

Buy versus bid

Discussing acquisition as an option does not authorize an offer.

Cost to achieve

This may occur before the saving and changes the cash-flow profile.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

06

1. Which statement preserves the evidence boundary?

- A** A savings estimate is itself a signed commercial agreement.
- B** The committee has already approved the acquisition.
- C** Supplier terms still need validation before the savings can be treated as dependable.
- D** Combined volume guarantees every supplier will accept the requested terms.

2. Why is \$4 million not yet a net first-year benefit?

- A** Procurement savings must always equal the purchase price.
- B** Supplier contracts have no effect on costs.
- C** Implementation timing, delivery costs, and offsets have not been established.
- D** Annual figures can never be used in strategy.

3. Which comparison helps identify incremental value?

- A** Compare the acquisition with a business assumed to have no future performance.
- B** Count existing improvement savings again as entirely new synergies.
- C** Exclude alternatives because an acquisition has been mentioned.
- D** Compare the combination with a defined standalone case and other feasible routes.

4. What should happen before a bid is submitted?

- A** Obtain the required bid authority through the applicable decision process.
- B** Treat permission to analyze as unlimited bidding authority.
- C** Ask an analyst to infer permission from the headline saving.
- D** Replace approval with a positive meeting tone.

Answers and explanations: [page 86](#).

A savings headline without an integration plan

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

06

WORD + PHRASE BANK

integration roadmap / bid authority / build-buy-partner / revenue dissynergies / supplier renegotiation / cost to achieve / run-rate savings / deal thesis / integration owner / standalone case

- 01 **Elena:** The acquisition slide says four million dollars in annual procurement savings. That is the largest quantified benefit, so it will attract attention at the committee.
- 02 **Marcus:** Label it as ¹ _____ at full implementation. We have not established when supplier changes would take effect, so the headline is not a first-year cash forecast.
- 03 **Elena:** The estimate assumes we combine purchasing volumes and obtain better terms. Nobody has confirmed those terms with the suppliers or checked the contract restrictions.
- 04 **Marcus:** Then ² _____ is an unverified dependency. Combined volume creates a discussion opportunity, but it does not prove that every requested discount is available.
- 05 **Elena:** The sponsor wants one net benefit number. We have the potential saving, but no implementation estimate, transition schedule, or analysis of costs that continue.
- 06 **Marcus:** We first need the ³ _____. A gross saving cannot become net simply because we give it a more reassuring heading on the summary slide.
- 07 **Elena:** There is also an existing procurement project in the standalone business. Some improvements might happen without the acquisition, and the proposals use similar descriptions.
- 08 **Marcus:** Establish the ⁴ _____ before adding transaction benefits. Otherwise the same improvement can appear once in the operating plan and again as value supposedly created by the deal.
- 09 **Elena:** We should ask whether internal development or a partnership could achieve the strategic objective. The acquisition should not win by being the only route with a slide.
- 10 **Marcus:** A ⁵ _____ comparison would help. Use comparable scope and timing, and show differences in control, capability, resource needs, and uncertainty rather than reducing everything to one headline.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 55.

- 11 **Elena:** The commercial team also worries that changing service arrangements during integration could unsettle customers. That would offset some of the expected improvement.
- 12 **Marcus:** Include potential ⁶ _____ instead of assuming the revenue base remains untouched. We need evidence about customer exposure, not a made-up percentage inserted to make the model look balanced.
- 13 **Elena:** None of this says the acquisition is a bad idea. It says we have not yet shown how the proposed value would actually be delivered.
- 14 **Marcus:** Correct. An ⁷ _____ should connect each saving to actions, dependencies, timing, and an accountable person. It gives the committee something more useful than an unsupported total.
- 15 **Elena:** Who should be responsible for the procurement estimate? The analyst can document the calculation, but the analyst will not negotiate or implement the new arrangements.
- 16 **Marcus:** Assign an ⁸ _____ with the relevant operational authority. Keep independent challenge in the review, while making responsibility for validation and implementation explicit.
- 17 **Elena:** The executive committee has authorized analysis only. Some colleagues are treating that as a signal that we can submit an offer once the slide improves.
- 18 **Marcus:** That is not ⁹ _____. The next submission should request the appropriate decision and state its limits, rather than infer transaction permission from interest in the opportunity.
- 19 **Elena:** I will revise the recommendation to show the strategic logic, alternative routes, standalone comparison, and evidence still required. The purchase price remains outside this meeting.
- 20 **Marcus:** Good. Keep the ¹⁰ _____ provisional until its assumptions withstand scrutiny. The strongest version makes uncertainty visible and identifies what must be verified before the next commitment.

06

ANSWERS / EXPLANATIONS: PAGE 87

1. run-rate savings | 2. supplier renegotiation | 3. cost to achieve | 4. standalone case | 5. build-buy-partner | 6. revenue dissynergies | 7. integration roadmap | 8. integration owner | 9. bid authority | 10. deal thesis

Annual potential is not first-year cash

F Say it

A fictional saving of \$120,000 per year begins on July 1 and accrues evenly. A one-time implementation payment is \$40,000. Ignore taxes, discounting, and other costs; use six months of savings.

Complete the four gaps. Use each bank entry once.

06

WORD + PHRASE BANK

\$120,000 / \$20,000 / cost to achieve / \$60,000

Analyst: "The annual run-rate saving is ¹ _____."

Reviewer: "Six months produces gross savings of ² _____."

Analyst: "The implementation payment is a ³ _____."

Reviewer: "The first-year net cash benefit on this basis is ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 87

1. \$120,000 | 2. \$60,000 | 3. cost to achieve | 4. \$20,000

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

A plausible downside is not a prediction

A Read the situation

Describe conditional outcomes and connect observable signposts to proportionate, authorized responses.

A planning team models next year using two illustrative cases. The base case assumes 10,000 units at \$200 each. A downside case assumes 8,000 units at \$180 each. No probabilities have been assigned, and neither case is an approved forecast. A proposed expansion can begin with a reversible \$50,000 test or proceed to a \$500,000 commitment. Neither route is approved. Strategist Noor and operations lead Leo must distinguish scenarios from predictions and propose measurable review triggers without implying that uncertainty has disappeared.

PEOPLE / Noor: Strategist | Leo: Operations lead

07

SPEAK CONDITIONALLY WITHOUT SOUNDING EVASIVE

Use a clear if-clause, name the assumption, and state what follows on that basis. Conditional language is stronger when it points to evidence and a response. Avoid both false certainty and vague warnings that leave colleagues unsure what to monitor or who should act.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is the status of the two cases?

- A** Illustrative scenarios without assigned probabilities
- C** Confirmed sales orders for next year

- B** Two approved forecasts with equal probabilities
- D** Actual results from last year

2. Which comparison is supported by the brief?

- A** The downside case proves demand will fall.
- C** The test guarantees the expansion will succeed.

- B** The test is reversible and requires a smaller initial commitment.
- D** The larger commitment has already been authorized.

3. What should the team clarify before acting on a review trigger?

- A** The measure, threshold, response, and decision authority
- C** How to turn an unassigned probability into certainty

- B** Which scenario title sounds most optimistic
- D** Whether a trigger can replace all judgment

Answers and explanations: [page 88](#).

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

scenario

A coherent description of a possible future under stated assumptions.

IN USE construct a plausible scenario

base case

A reference set of assumptions used for comparison.

IN USE label the base-case assumptions

downside case

A set of assumptions producing a less favorable outcome.

IN USE stress the downside case

forecast

An estimate of expected future results using a stated method.

IN USE update the approved forecast

prediction

A statement about what is expected to happen.

IN USE avoid an unsupported prediction

probability

A quantified expression of likelihood on a stated basis.

IN USE justify the assigned probability

plausibility

The degree to which an outcome is reasonably conceivable.

IN USE test scenario plausibility

uncertainty

Lack of sufficient knowledge about outcomes or relevant conditions.

IN USE acknowledge material uncertainty

sensitivity analysis

Examination of how changing inputs affects a result.

IN USE run sensitivity analysis

stress test

Analysis of performance under specified adverse conditions.

IN USE define the stress-test assumptions

signpost

An observable development relevant to an uncertain future.

IN USE monitor early signposts

leading indicator

A measure that may provide an early signal of later performance.

IN USE validate a leading indicator

Precision check

A base case is not automatically the most likely outcome, and two scenarios do not automatically have a 50% probability each. If no probabilities have been established, report the cases without inventing them. Plausibility describes what could happen; probability makes a different, quantified claim.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

lagging indicator

A measure reflecting results after relevant activity has occurred.

IN USE review lagging indicators

trigger

A defined condition prompting a specified review or response.

IN USE set a review trigger

threshold

The level at which a stated condition is met.

IN USE agree the threshold

contingency plan

A prepared response to a specified possible development.

IN USE activate a contingency plan

reversible decision

A choice that can be changed with limited exit consequences.

IN USE favor a reversible decision where appropriate

irreversible commitment

A commitment difficult or costly to undo.

IN USE defer an irreversible commitment

option value

The value of preserving a future choice under uncertainty.

IN USE preserve option value

staged commitment

An allocation made in steps subject to specified reviews.

IN USE design a staged commitment

risk appetite

The types and amount of risk an organization is willing to pursue or retain.

IN USE clarify risk appetite

risk tolerance

The acceptable variation or limits around a defined exposure or objective.

IN USE specify risk tolerance

robust option

A choice that performs acceptably across the scenarios examined.

IN USE compare robust options

decision gate

A defined review point before a further commitment.

IN USE establish a decision gate

Precision check

A signpost is something to monitor; a trigger is a specified condition tied to a response. For example, a demand measure can be monitored weekly, while a defined decline over an agreed period triggers a review. A review trigger need not automatically authorize cancellation or spending.

Phrases you can actually use

C Notice the language / 1 of 2

STATE THE CONDITION

"If volume and price follow these assumptions, revenue would be \$1.44 million."

AVOID INVENTED LIKELIHOOD

"We have not assigned probabilities to either case."

TEST RESILIENCE

"Which option remains workable across both scenarios?"

DEFINE MONITORING

"Which observable signposts would challenge the current assumption?"

SEPARATE A FORECAST

"These are planning scenarios, not approved forecasts."

NAME THE REFERENCE

"The base case is our comparison point, not a guarantee."

PRESERVE FLEXIBILITY

"The smaller test preserves a later decision on full expansion."

SPECIFY THE TRIGGER

"Let us agree the measure, threshold, and review period."

Would versus will

Would fits a conditional model result; will can overstate certainty.

Base does not mean certain

Explain why the reference assumptions were selected.

Equal number of cases

Two cases do not establish equal likelihood.

Phrases you can actually use

C Notice the language / 2 of 2

KEEP AUTHORITY EXPLICIT

"Meeting the threshold triggers a review, not automatic spending."

DESCRIBE THE DOWNSIDE

"This case tests adverse conditions without predicting that they will occur."

SET THE NEXT GATE

"The pilot evidence must be reviewed before any larger commitment."

CLARIFY EXPOSURE

"How much can we commit before the next evidence review?"

REQUEST SENSITIVITY

"Show how the result changes when price and volume move separately."

LIMIT THE CLAIM

"Reversibility reduces some commitment risk; it does not guarantee success."

NAME THE RESPONSE

"What action would the decision owner consider if the trigger is met?"

SUMMARIZE UNCERTAINTY

"The decision depends on assumptions that remain open to revision."

07

Trigger versus authority

An alert or review condition is not necessarily permission to act.

Risk language

Define appetite, tolerance, and limits consistently with the organization's own governance.

Reversible

Explain the actual exit costs and constraints before using this label in a real proposal.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. What revenue follows from the downside assumptions?

- A** \$2 million
- B** \$3.44 million
- C** \$1.44 million
- D** \$1.6 million

07

2. Which statement avoids inventing probability?

- A** Each scenario has a 50% chance because there are two.
- B** The base case is certain because it is listed first.
- C** The downside case is impossible because it is less attractive.
- D** No probability has been assigned to either scenario.

3. Which trigger is operationally clearer?

- A** React when the market feels uncomfortable.
- B** Spend more whenever someone mentions uncertainty.
- C** Treat every weekly fluctuation as proof of the downside case.
- D** Review expansion if the agreed demand measure stays below its threshold for the specified period.

4. What does the \$50,000 test preserve?

- A** Automatic approval for the \$500,000 expansion
- B** Proof that all possible risks have been removed
- C** A later choice about the larger commitment, subject to evidence and approval
- D** A guarantee of future demand

Answers and explanations: [page 88](#).

A plausible downside is not a prediction

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

trigger / sensitivity analysis / scenario / downside case / signposts / decision gate / option value / risk limits / base case / probabilities

07

- 01 **Leo:** The workshop has a base case and a downside case. The sponsor wants us to say which one will happen so the expansion decision feels clearer.
- 02 **Noor:** We should not turn a ¹ _____ into a prediction. Neither case has an assigned probability, and neither has been approved as our forecast for next year.
- 03 **Leo:** The base case assumes ten thousand units at two hundred dollars. People keep calling it the expected outcome because it appears first in the presentation.
- 04 **Noor:** It is a ² _____ for comparison. That produces two million dollars of revenue on the stated assumptions, but the heading does not establish that those assumptions are most likely.
- 05 **Leo:** The other case has eight thousand units at one hundred eighty dollars. It changes both demand and price, which makes the revenue reduction more pronounced.
- 06 **Noor:** Yes. The ³ _____ produces one point four four million dollars. We should explain both changes rather than describing the entire difference as a volume effect.
- 07 **Leo:** Could we assign each case a fifty-percent chance? There are only two cases on the slide, and the committee may ask for an average.
- 08 **Noor:** Not without a basis for the ⁴ _____. Two selected cases do not establish equal likelihood or exhaust every possible future. An unsupported average would add precision without adding evidence.
- 09 **Leo:** We could also vary the inputs separately. That would show how much of the result depends on price and how much depends on volume.
- 10 **Noor:** That is useful ⁵ _____. Keep the assumptions visible and use it to identify which uncertainties could change the decision, rather than create a large table without a purpose.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 64.

- 11 **Leo:** For expansion, we can run a reversible fifty-thousand-dollar test or commit five hundred thousand immediately. Neither proposal has approval at this point.
- 12 **Noor:** The smaller stage may preserve ⁶ _____ while we learn. We still need to explain what the test can establish, its limits, and whether its evidence would genuinely inform the larger decision.
- 13 **Leo:** We should monitor customer inquiries and confirmed demand during the test. Those measures could help us see whether the market assumptions are holding.
- 14 **Noor:** Define those ⁷ _____ carefully. An inquiry and a confirmed order are not interchangeable, and a measure is useful only if its relationship to the decision is clear.
- 15 **Leo:** Then we need a rule for when the evidence deserves another review. I do not want every small weekly fluctuation to restart the whole discussion.
- 16 **Noor:** Set a ⁸ _____ using an agreed measure, threshold, and period. Specify whether it calls for review, a pause, or another authorized response rather than leaving its meaning implicit.
- 17 **Leo:** The sponsor must define acceptable exposure before that review. Otherwise the team could keep spending while describing every step as learning.
- 18 **Noor:** Document the ⁹ _____ and decision authority. A staged approach needs an actual boundary; calling something a pilot does not make an open-ended commitment small or reversible.
- 19 **Leo:** I will present the cases as conditional, show the sensitivity, and request a bounded test with clear monitoring. The full expansion will remain a separate decision.
- 20 **Noor:** Add the next ¹⁰ _____ and the evidence required there. That gives the committee a practical way to act under uncertainty without pretending that we know the future.

07

ANSWERS / EXPLANATIONS: PAGE 89

1. scenario | 2. base case | 3. downside case | 4. probabilities | 5. sensitivity analysis | 6. option value | 7. signposts | 8. trigger | 9. risk limits | 10. decision gate

A trigger calls for review

F Say it

The agreed rule calls for a review if confirmed weekly orders remain below 80 for three consecutive weeks. The last three totals are 76, 79, and 78. The rule grants no automatic cancellation authority.

Complete the four gaps. Use each bank entry once.

07

WORD + PHRASE BANK

authority / threshold / trigger / review

Analyst: "All three totals are below the ¹ _____."

Lead: "The agreed review ² _____ has been met."

Analyst: "We should now arrange the ³ _____."

Lead: "Cancellation would still require ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 89

1. threshold | 2. trigger | 3. review | 4. authority

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Twelve metrics, but what is the board being asked to approve?

A Read the situation

Turn a dense status presentation into a bounded decision request with owners, measures, and review conditions.

A team asks the board to approve a twelve-week pilot at two sites with a \$150,000 spending cap. The proposed goal is to reduce median processing time from the measured six-day baseline to four days, while keeping the error rate at or below 2%. The operations director would own delivery and finance would verify spending. The draft contains twelve metrics but no explicit approval request. No full rollout is authorized. A final review must assess the pilot evidence before the board considers further investment.

PEOPLE / Amara: Chief of staff | Tom: Operations director

08

PUT THE DECISION BEFORE THE DASHBOARD

Senior listeners should not have to infer whether a presentation requests approval, reports progress, or seeks advice. State the requested decision early, then use a small number of relevant measures to support it. Keep delivery accountability distinct from independent verification and from authority to approve the next stage.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What decision is requested?

- | | |
|--|--|
| A Permission to remove the error-rate limit | B Approval of a two-site, twelve-week pilot capped at \$150,000 |
| C Approval of an unlimited company-wide rollout | D Confirmation that the pilot has already met its target |

2. Which measure is a quality guardrail?

- | | |
|---|---|
| A Keeping the error rate at or below 2% | B Spending the entire cap as quickly as possible |
| C Increasing the number of presentation slides | D Reporting twelve metrics regardless of relevance |

3. Who would own delivery?

- | | |
|--|--|
| A Every board member individually | B Nobody until after rollout |
| C The operations director | D Finance solely because it checks spending |

Answers and explanations: page 90.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

execution governance

The arrangements for directing, reviewing, and authorizing implementation.

IN USE establish execution governance

operating model

The configuration of roles, processes, systems, and interactions used to deliver work.

IN USE define the operating model

board narrative

The decision-focused explanation connecting evidence, choices, and the requested action.

IN USE sharpen the board narrative

decision request

The explicit action a decision-making body is asked to authorize.

IN USE state the decision request

pilot scope

The boundaries of a limited test.

IN USE protect the pilot scope

spending cap

The maximum authorized expenditure for a defined purpose.

IN USE enforce the spending cap

delivery owner

The person accountable for implementing the agreed work.

IN USE name the delivery owner

accountability

Answerability for a defined result or responsibility.

IN USE assign clear accountability

decision authority

Permission to approve a defined action or commitment.

IN USE identify decision authority

key performance indicator

A selected measure used to assess important performance.

IN USE choose relevant key performance indicators

outcome metric

A measure of the result the initiative is intended to change.

IN USE define the outcome metric

guardrail metric

A measure that limits unacceptable side effects or deterioration.

IN USE monitor the guardrail metric

Precision check

A target is the result sought; a guardrail limits what must not deteriorate while pursuing it. Four-day median processing time does not compensate for an error rate above the stated 2% limit. The pilot must be assessed on both measures, with consistent definitions and a stated measurement period.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

metric definition

The specified calculation, data scope, and interpretation of a measure.

IN USE document the metric definition

median

The middle value when observations are ordered, or the mean of the two middle values for an even count.

IN USE report median processing time

measurement window

The period included in a performance calculation.

IN USE agree the measurement window

data owner

The person responsible for the quality and availability of specified data.

IN USE confirm the data owner

reporting cadence

The agreed frequency of updates or reviews.

IN USE set the reporting cadence

variance

A difference from a stated plan, baseline, or target.

IN USE explain material variance

exception report

A focused update on deviations requiring attention.

IN USE issue an exception report

escalation route

The path for raising an issue to the appropriate authority.

IN USE clarify the escalation route

stage review

A formal assessment before deciding on a subsequent phase.

IN USE conduct the stage review

rollout criteria

Conditions required before considering wider implementation.

IN USE agree rollout criteria

decision record

Documentation of the choice made, its scope, and its conditions.

IN USE maintain the decision record

benefit verification

Checking whether claimed improvements occurred on a defined basis.

IN USE require benefit verification

08

Precision check

A spending cap is a ceiling, not an instruction to spend the full amount. Pilot approval also has a scope and duration. Reaching the end of twelve weeks does not automatically authorize additional sites, more spending, or a rollout; those require the specified subsequent decision.

Phrases you can actually use

C Notice the language / 1 of 2

OPEN WITH THE REQUEST

"We request approval for a twelve-week pilot at two sites."

NAME THE OUTCOME

"The target is a four-day median processing time."

PROTECT QUALITY

"The error rate must remain at or below 2%."

SEPARATE VERIFICATION

"Finance will verify spending against the approved cap."

STATE THE CEILING

"Total pilot spending must not exceed \$150,000."

PRESERVE THE BASELINE

"The measured baseline is six days on the stated definition."

ASSIGN DELIVERY

"The operations director will own implementation."

DEFINE THE NEXT DECISION

"Wider rollout would require a separate board decision."

08

Approve versus note

Approval authorizes a specified action; noting a report does not necessarily do so.

Cap versus budget target

A ceiling should not create pressure to spend unnecessarily.

Median versus mean

Name the statistic and keep it consistent across comparisons.

Phrases you can actually use

C Notice the language / 2 of 2

REDUCE DASHBOARD CLUTTER

"Retain measures that show results, guardrails, or material exceptions."

CLARIFY REPORTING

"Agree who reports each measure and at what frequency."

DOCUMENT AUTHORITY

"Record the scope and conditions of the approval explicitly."

PREPARE THE REVIEW

"Present the evidence, limitations, and options at the final review."

SPECIFY MEASUREMENT

"Use the same case population and calculation when comparing periods."

ESCALATE AN EXCEPTION

"A threatened cap or guardrail breach must reach the named decision owner."

AVOID PREMATURE SUCCESS

"The pilot is not successful merely because it launched on time."

CLOSE WITH BOUNDARIES

"This request does not authorize extra sites or an automatic extension."

08

Faster and acceptable

Assess the speed target together with the quality limit.

Owner versus verifier

Delivery and independent checking are different responsibilities.

Pilot versus rollout

A small test needs a separate scope and decision from wider implementation.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which opening makes the decision clearest?

- A Approve whatever scope the team later finds convenient.
- B Note that all future rollout decisions are already implied.
- C Approve a twelve-week, two-site pilot with spending capped at \$150,000.
- D Here are twelve metrics and a general update.

08

2. A pilot reaches four days but has a 2.5% error rate. What is accurate?

- A The board must approve rollout automatically.
- B It meets the speed target but breaches the stated quality guardrail.
- C It meets both conditions because speed improved.
- D The error rate can be ignored after launch.

3. What follows from spending only \$135,000 within the approved scope?

- A The remaining \$15,000 must be spent to prove success.
- B The unused amount automatically authorizes another site.
- C The quality guardrail no longer applies.
- D The team is below the cap; it need not spend the remaining \$15,000.

4. What must precede a wider rollout?

- A Review the pilot evidence and obtain the separate required decision.
- B Let the twelve-week end date authorize it automatically.
- C Treat a launch announcement as board approval.
- D Replace the final review with an unrelated metric count.

Answers and explanations: page 90.

Twelve metrics, but what is the board being asked to approve?

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

delivery owner / decision request / pilot scope / stage review / reporting cadence / spending cap / board narrative / decision record / guardrail metric / outcome metric

08

- 01 **Amara:** The board pack has twelve metrics but no clear decision. Are we reporting progress, requesting advice, or asking for permission to start?
- 02 **Tom:** We need a clear ¹ _____. We are asking for approval of a twelve-week pilot at two sites, with a maximum total spend of one hundred fifty thousand dollars.
- 03 **Amara:** Put that on the first substantive slide. The directors should know the requested action before they interpret a dashboard or listen to the operating detail.
- 04 **Tom:** I will state the ² _____ explicitly. We are not requesting a company-wide rollout, an automatic extension, or permission to add locations as the team finds new opportunities.
- 05 **Amara:** The current processing baseline is six days. We need to show what would count as meaningful improvement and how the number will be calculated.
- 06 **Tom:** The ³ _____ is median processing time, with a four-day target. We will preserve the calculation and case definitions so the comparison does not improve simply because its basis changes.
- 07 **Amara:** Speed alone could create the wrong incentive. A faster process would not be a success if the team introduced more errors while rushing work through.
- 08 **Tom:** The error rate is our ⁴ _____. It must stay at or below two percent. The review needs both results, not a headline that highlights speed and hides quality.
- 09 **Amara:** Who will be accountable for implementation? The draft names several functions, but that can leave everyone assuming someone else is responsible for the final result.
- 10 **Tom:** I will be the ⁵ _____. The supporting teams will have defined responsibilities, while finance separately verifies spending rather than becoming responsible for operational delivery.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 73.

- 11 **Amara:** We should also clarify the financial boundary. Some people hear a budget number as a target they are expected to use up before the period ends.
- 12 **Tom:** It is a ⁶ _____, not a spending obligation. Being below it does not authorize extra sites, and reaching it does not justify further spending without the necessary decision.
- 13 **Amara:** The board will need timely information if the pilot is moving outside its limits. Waiting until week twelve could make the review too late to help.
- 14 **Tom:** We should agree a ⁷ _____ and an exception route before launch. Routine updates can be brief, but threatened breaches need attention from the person authorized to respond.
- 15 **Amara:** We do not need twelve measures in the main presentation. Some describe activity without showing whether the result is acceptable.
- 16 **Tom:** We can retain supporting detail and focus the main ⁸ _____ on the request, outcome, quality limit, spending, and material exceptions. That preserves useful evidence without making directors assemble the recommendation themselves.
- 17 **Amara:** At the end, we need to assess the evidence and its limitations. Two sites may teach us something important without proving the model will work everywhere.
- 18 **Tom:** The final ⁹ _____ should compare results with the agreed criteria and identify remaining uncertainty. Any wider rollout stays a separate decision, even if the pilot looks encouraging.
- 19 **Amara:** I will make the approval wording precise and record its limits. Readers should not have to reconstruct authority from slides.
- 20 **Tom:** A clear ¹⁰ _____ will help. It should distinguish what was approved, what must be monitored, and what remains unapproved, so implementation follows the actual decision rather than an optimistic interpretation.

08

ANSWERS / EXPLANATIONS: PAGE 91

1. decision request | 2. pilot scope | 3. outcome metric | 4. guardrail metric | 5. delivery owner | 6. spending cap | 7. reporting cadence | 8. board narrative | 9. stage review | 10. decision record

Faster, but outside the quality limit

F Say it

At review, median processing time is four days, the error rate is 2.5%, and spending is \$135,000. The pilot limits remain four days, at most 2% errors, and at most \$150,000 spending.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

decision / breached / met / cap

08

Lead: "The processing-time target was ¹ _____."

Reviewer: "The quality guardrail was ² _____."

Lead: "Spending remained below the ³ _____."

Reviewer: "Rollout still requires a separate ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 91

1. met | 2. breached | 3. cap | 4. decision

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

01 Briefing and language checks

Strategy Role, Problem Framing, and Executive Diagnosis

A Briefing checks / page 4

1. What is the primary unresolved issue?

C. Which outcome the growth strategy should prioritize

The sponsor has not chosen the main objective, so the analysis cannot assume a specific outcome or solution.

2. What do the supplied figures describe?

B. Last year's revenue and operating profit

The figures are historical business results, not targets, market estimates, or transaction terms.

3. Which action is not authorized by the brief?

A. Treating an acquisition and 20% revenue target as approved

The case explicitly says no such target or acquisition has been authorized.

D Language checks / page 9

1. Which clarification should come first?

B. Is the priority revenue, operating profit, or a defined market-entry outcome?

Different objectives change the option set and evidence needed, so the primary outcome must be clarified.

2. What operating margin follows from the supplied historical figures?

B. 10%

Operating profit of \$2 million divided by revenue of \$20 million equals 10%.

3. Which sentence correctly labels an acquisition?

A. It is one option to assess after clarifying the mandate.

An acquisition is a possible course of action, not a goal or automatic authorization.

4. Which summary best prepares the next discussion?

D. We need an objective, target, horizon, boundaries, and decision owner.

The listed inputs resolve the assignment's actual ambiguities without silently making the sponsor's decisions.

01 Conversation answers

Strategy Role, Problem Framing, and Executive Diagnosis

E Dialogue gaps

Pages 10-11

- 1. strategic mandate.** Turn 2. The mandate defines the assignment's purpose and boundaries; the broad request has not yet selected the desired outcome.
- 2. baseline.** Turn 4. The baseline is the prior result used for comparison, not an approved future target or permission to pursue a particular option.
- 3. objective.** Turn 6. The objective specifies the intended outcome and helps determine which options and trade-offs the analysis should compare.
- 4. time horizon.** Turn 8. The time horizon sets the period for assessing the result; short-term improvement and long-term market building may require different options.
- 5. strategic option.** Turn 10. A strategic option is a possible route for assessment; mentioning it does not authorize a transaction or define the outcome.
- 6. diagnosis.** Turn 12. Diagnosis seeks an evidence-based explanation of the challenge; the two suggested causes have not yet been established.
- 7. issue tree.** Turn 14. An issue tree organizes the key analytical questions so evidence gathering remains connected to the decision.
- 8. assumption register.** Turn 16. An assumption register records premises and their verification status so estimates do not become silent facts in later presentations.
- 9. decision rights.** Turn 18. Decision rights identify who can approve the objective, commitments, and recommendation rather than leaving authority implicit.
- 10. success criteria.** Turn 20. Success criteria define how the effort will be judged; the case has not yet agreed a target, horizon, or priority measure.

F Transfer conversation

Page 12

1. option

Analyst: "An overseas office is a possible option."

Opening an office is a course of action, not the business outcome it is intended to produce.

2. objective

Sponsor: "We first need to define the objective."

The intended business outcome remains unstated, so it must be clarified before evaluating the option.

3. unagreed

Analyst: "The spending limit remains unagreed."

The briefing supplies no agreed budget, so a spending amount must not be invented.

4. lease

Sponsor: "This discussion does not authorize a lease."

The team expressly lacks authority to sign a lease for the proposed office.

02 Briefing and language checks

Strategic Choices: Ambition, Where to Play, How to Win, and Tradeoffs

A Briefing checks / page 13

1. How much capacity do both full initiatives require?

D. 220 specialist-weeks

The two requirements are 120 and 100 specialist-weeks, totaling 220.

2. What is the shortfall against available capacity?

D. 60 specialist-weeks

Required capacity of 220 minus available capacity of 160 leaves a 60-week gap.

3. Which assumption is unsupported?

C. Extra staffing or reduced scope has already been approved.

The briefing explicitly says hiring, outsourcing, and scope reductions have not been approved.

D Language checks / page 18

1. Which statement reports the constraint precisely?

A. Full delivery needs 220 specialist-weeks, exceeding current capacity by 60.

Combined demand, not each separate request, must be compared with the available specialist-weeks.

2. Which proposal is correctly described as an option?

B. Evaluate a phased approach without claiming it is already approved.

A phased approach is a possible plan to assess, while the other options conceal or invent capacity.

3. Which question addresses how to win?

C. Why would the chosen customers prefer our offering to alternatives?

How to win concerns the reason the company can succeed in the chosen arena, not merely naming the arena.

4. Which conclusion follows from the resource data alone?

A. Both full initiatives cannot fit the stated capacity without a change.

Capacity establishes feasibility limits but does not alone rank the options' value or prove their profitability.

02 Conversation answers

02

Strategic Choices: Ambition, Where to Play, How to Win, and Tradeoffs

E Dialogue gaps

Pages 19-20

1. capacity constraint. Turn 2. The capacity constraint is the limited 160 specialist-weeks shared by both initiatives, not a judgment that either lacks value.

2. resource bottleneck. Turn 4. The resource bottleneck arises because both initiatives need the same limited specialist team; separate sponsorship does not create separate capacity.

3. resource envelope. Turn 6. The resource envelope is the bounded amount actually available; efficiency hopes do not establish additional usable resources.

4. where to play. Turn 8. Where to play identifies the arena selected for competition, such as the current core or the adjacent segment.

5. how to win. Turn 10. How to win concerns the proposed basis of success with the selected customers, which market size alone does not establish.

6. opportunity cost. Turn 12. Opportunity cost is the value of the next-best alternative forgone, including the delayed use of scarce specialist time.

7. minimum viable scope. Turn 14. Minimum viable scope must be sufficient for the specified purpose or learning question; merely shrinking work does not make a useful pilot.

8. sequencing. Turn 16. Sequencing orders initiatives over time and can address shared-resource conflicts without assuming immediate new staffing.

9. stop-doing list. Turn 18. A stop-doing list makes discontinued or suspended work explicit, preventing new priorities from simply accumulating on top of existing demand.

10. commitment. Turn 20. A commitment is the chosen, authorized plan with resources and limits; it differs from the unapproved alternatives discussed in the meeting.

F Transfer conversation

Page 21

1. 105

Lead: "The combined requirement is 105 analyst-days."

Adding the two pilot requirements gives 55 plus 50, or 105 analyst-days.

2. 15

Analyst: "That exceeds available capacity by 15 days."

The shortfall is 105 required minus 90 available, which equals 15 analyst-days.

3. choice

Lead: "We need an explicit resource or sequencing choice."

The current full-scope combination cannot fit without changing resources, timing, or scope through a decision.

4. capacity

Analyst: "Neither proposal creates extra capacity by itself."

A proposed initiative adds demand, not usable analyst time or approval for additional resources.

03 Briefing and language checks

Industry Structure, Competitive Dynamics, and Profit Pools

03

A Briefing checks / page 22

1. Which figure describes the segment within the current service geography?

C. \$120 million

The case narrows total industry spending to the relevant segment and then to the current geography.

2. What revenue does the 10% share assumption imply?

B. \$12 million annually

Ten percent of the stated \$120 million geographic segment estimate is \$12 million.

3. What is not supplied?

D. Segment profit data and customer-switching evidence

The briefing explicitly leaves profitability and switching evidence unavailable, although the market-size and share inputs are supplied.

D Language checks / page 27

1. Which market statement is accurate?

C. Current reach covers an estimated \$120 million segment; capture is unvalidated.

The accurate statement retains the geographic filter and the uncertain capture assumption without adding nested totals.

2. What does \$12 million represent in the model?

B. Annual revenue implied by the assumed share

The figure is calculated from assumed capture of annual spending, not an established result or profit measure.

3. Which evidence would most directly test capture?

B. Account-level need, switching behavior, route to market, and realistic delivery capacity

Capture requires evidence about winning and serving demand, not just a large total or a desired answer.

4. Which distinction is correct?

A. A profit pool concerns profits, while the supplied market figures concern spending.

Revenue spending and available profits are distinct; the case supplies no cost or profitability evidence to equate them.

03 Conversation answers

Industry Structure, Competitive Dynamics, and Profit Pools

03

E Dialogue gaps

Pages 28-29

1. market boundary. Turn 2. The market boundary specifies included customers, products, and geography; total industry spending exceeds the current service scope.

2. total addressable market. Turn 4. Total addressable market must match the offering; a broader industry total may include irrelevant demand.

3. serviceable available market. Turn 6. The serviceable available market reflects demand the business can serve within its defined offering and reach.

4. capture assumption. Turn 8. The capture assumption is a model input requiring validation; its resulting revenue is not a forecast established by customer evidence.

5. profit pool. Turn 10. A profit pool measures profits in a defined set of activities; spending totals alone do not provide that amount.

6. buyer power. Turn 12. Buyer power concerns customers' influence over prices and terms; a spending estimate does not establish the entrant's negotiating position.

7. switching costs. Turn 14. Switching costs are burdens of changing providers that can prevent interest from becoming actual adoption.

8. substitute. Turn 16. A substitute meets the underlying need in another way, such as an internal approach, rather than copying the same commercial service.

9. barriers to entry. Turn 18. Barriers to entry concern conditions that make participation difficult; their existence and magnitude require investigation rather than assumption.

10. bottom-up estimate. Turn 20. A bottom-up estimate builds from accounts, usage, and pricing to test the aggregate calculation and its capture assumptions.

F Transfer conversation

Page 30

1. eighty

Analyst: "The current-region estimate is eighty million dollars."

The supplied regional subset is \$80 million, not the whole category or segment.

2. subset

Director: "It is a subset of the target segment."

The regional amount lies within the \$200 million segment rather than outside it.

3. spending

Analyst: "Adding the nested figures would double-count spending."

The same underlying spending appears in the larger and smaller groups, so their sum is not a distinct total.

4. explicit

Director: "Keep the boundary and geography explicit."

Stating the definitions prevents a broad category from being mistaken for the company's current reachable demand.

04 Briefing and language checks

Business Models, Unit Economics, Capabilities, and Advantage

A Briefing checks / page 31

1. What is contribution per job before the excluded costs?

B. Negative \$15

Revenue of \$100 less variable delivery cost of \$115 gives negative \$15 per completed job.

2. What is monthly contribution at 1,500 jobs?

D. Negative \$22,500

The 1,500 jobs each contribute negative \$15, totaling negative \$22,500 before excluded costs.

3. What stayed unchanged as volume rose?

D. Price and variable delivery cost per job

The briefing fixes unit price and unit variable cost while volume changes from 1,000 to 1,500.

D Language checks / page 36

1. Which statement correctly combines growth and economics?

D. Revenue rose, but unchanged negative contribution per job made total contribution more negative.

More jobs increase revenue and also multiply the negative \$15 unit contribution under the supplied unchanged assumptions.

2. What happened to revenue between the two volumes?

C. It rose from \$100,000 to \$150,000 monthly.

Multiplying the \$100 job price by 1,000 and 1,500 jobs gives the two revenue totals.

3. Which evidence would support a better scale argument?

A. A verified mechanism reducing variable cost per job or improving realized price

Improving the actual unit revenue-cost relationship, not just the volume label, is needed to address the negative contribution.

4. Which metric is not fully determined by the supplied figures?

C. Operating profit

Fixed and acquisition costs are excluded, so the supplied contribution calculation does not determine complete operating profit.

04 Conversation answers

Business Models, Unit Economics, Capabilities, and Advantage

E Dialogue gaps

Pages 37-38

- 1. unit economics.** Turn 2. Unit economics compares revenue and costs for the defined job; higher volume alone does not establish a viable relationship.
- 2. contribution.** Turn 4. Contribution is revenue less the stated variable costs, giving negative \$15 per job before excluded expenses.
- 3. cost to serve.** Turn 6. Cost to serve concerns delivery and support economics; the supplied variable cost currently exceeds the price of each job.
- 4. variable cost.** Turn 8. Variable cost rises with each job; spreading fixed costs cannot repair negative unit contribution.
- 5. break-even volume.** Turn 10. Unchanged negative contribution cannot cover positive fixed costs, so no positive break-even volume exists on this basis.
- 6. learning curve.** Turn 12. A learning curve is a hypothesis about improvement with experience; an untested estimate should not be treated as an achieved cost reduction.
- 7. willingness to pay.** Turn 14. Willingness to pay must be tested at the new price; existing-price demand does not establish acceptance.
- 8. customer acquisition cost.** Turn 16. Customer acquisition cost is excluded here; complete relationship profitability requires this and other relevant costs.
- 9. cohort economics.** Turn 18. Cohort economics follows comparable customer groups over time and can reveal differences hidden by an aggregate average.
- 10. scalability.** Turn 20. Scalability concerns how growth affects economics and performance; it is not established merely by a higher number of completed jobs.

F Transfer conversation

Page 39

1. thirty

Analyst: "Contribution per job is thirty dollars."

The unit contribution is \$120 revenue minus \$90 variable cost, which equals \$30.

2. fifteen thousand

Lead: "The included fixed cost is fifteen thousand dollars monthly."

The case explicitly supplies \$15,000 of monthly fixed costs for the simplified calculation.

3. five hundred

Analyst: "Break-even volume is five hundred jobs."

Dividing the \$15,000 fixed cost by \$30 contribution per job gives 500 jobs.

4. assumptions

Lead: "That answer depends on the stated assumptions."

Constant unit economics and the exclusion of other costs define the limited exercise, not a universal business forecast.

04

05 Briefing and language checks

Portfolio Strategy, Capital Allocation, and Resource Reallocation

A Briefing checks / page 40

05

1. What funding gap exists if both full requests are accepted?

C. \$1 million

Two \$2 million requests total \$4 million against a \$3 million envelope, leaving a \$1 million gap.

2. What do the \$700,000 and \$900,000 figures represent?

B. Projected annual gross savings with incomplete validation

The briefing labels them projected gross savings and leaves timing, costs, and validation incomplete.

3. How should the completed \$400,000 study be treated in the forward choice?

B. As an unrecoverable past cost, not automatic justification to continue

The study cost cannot be recovered, so it does not itself establish the best use of resources from now onward.

D Language checks / page 45

1. Which conclusion follows from the budget arithmetic?

B. Both full scopes cannot be funded within the current envelope.

Combined requests exceed the available funding, while neither past spending nor an untested split creates extra capacity.

2. Why does Beta's \$900,000 headline not settle the decision?

B. It is gross and unvalidated, with timing and ongoing costs incomplete.

The proposals need comparable forward economics and evidence rather than a ranking based on one incomplete gross figure.

3. How should Alpha's study be used?

B. Use its evidence, but do not treat its unrecoverable cost as automatic justification.

A sunk expenditure should not drive the forward choice, while the information it produced may remain relevant.

4. What must accompany a partial-funding option?

C. A revised scope, delivery plan, and benefit estimate

Both proposals assume full funding, so a smaller allocation requires a new feasible case rather than an unsupported proportional split.

05 Conversation answers

Portfolio Strategy, Capital Allocation, and Resource Reallocation

E Dialogue gaps

Pages 46-47

- 1. investment envelope.** Turn 2. The investment envelope is the \$3 million total available; separate requests must be evaluated together against that limit.
- 2. gross benefits.** Turn 4. Gross benefits are stated before relevant offsetting costs; the incomplete timing and validation prevent treating them as net value.
- 3. sunk cost.** Turn 6. The sunk cost cannot be recovered and does not automatically justify new spending.
- 4. incremental cash flows.** Turn 8. Incremental cash flows are the future cash consequences changed by the decision, unlike the unrecoverable completed-study expenditure.
- 5. resource reallocation.** Turn 10. Resource reallocation moves limited resources between uses and should identify the work displaced by the funded proposal.
- 6. investment case.** Turn 12. The investment case must match its funding; reduced allocations require revised scope and benefit estimates.
- 7. benefit owner.** Turn 14. A benefit owner is accountable for achieving and verifying the claimed result, not just submitting an attractive forecast.
- 8. dependency map.** Turn 16. A dependency map exposes shared prerequisites and overlapping benefits, helping prevent the same saving from being counted twice.
- 9. stage-gated funding.** Turn 18. Stage-gated funding requires evidence reviews and real authority to change the next commitment.
- 10. capital allocation.** Turn 20. Capital allocation distributes limited funds among competing uses based on the full comparison.

F Transfer conversation

Page 48

1. sunk

Analyst: "The completed study fee is a sunk cost."

The \$30,000 has already been spent and cannot be recovered through the present decision.

2. commitment

Sponsor: "The pilot is a new commitment."

The additional \$70,000 is a forward decision, not something already authorized by the study purchase.

3. evidence

Analyst: "We should use the study's evidence."

Useful information remains relevant even when the spending that produced it is unrecoverable.

4. approval

Sponsor: "Past spending does not supply pilot approval."

The briefing explicitly says no pilot approval exists, and completing a study does not create it.

05

06 Briefing and language checks

Growth Strategy, Market Entry, Partnerships, and M&A Logic

A Briefing checks / page 49

1. What does the \$4 million figure describe?

A. Potential annual procurement savings after full implementation

The estimate describes potential annual savings at full implementation, with terms and delivery assumptions still unverified.

2. What has the committee authorized?

A. Analysis of the proposal

The briefing explicitly limits authorization to analysis and says no bid has been approved.

3. Which information is missing?

B. An integration plan and cost-to-achieve estimate

The case names procurement savings and available alternatives but supplies neither implementation planning nor delivery costs.

D Language checks / page 54

1. Which statement preserves the evidence boundary?

C. Supplier terms still need validation before the savings can be treated as dependable.

The proposed terms have not been confirmed, and the committee authorized analysis only.

2. Why is \$4 million not yet a net first-year benefit?

C. Implementation timing, delivery costs, and offsets have not been established.

The annual run-rate estimate lacks the information required to derive timed net cash benefits.

3. Which comparison helps identify incremental value?

D. Compare the combination with a defined standalone case and other feasible routes.

A defined comparison separates acquisition-specific benefits from improvements available without the transaction.

4. What should happen before a bid is submitted?

A. Obtain the required bid authority through the applicable decision process.

The explicit authorization covers analysis, not submission of an offer or any transaction commitment.

06 Conversation answers

Growth Strategy, Market Entry, Partnerships, and M&A Logic

E Dialogue gaps

Pages 55-56

1. run-rate savings. Turn 2. Run-rate savings describe the recurring level after full implementation, not a confirmed amount realized in the first year.

2. supplier renegotiation. Turn 4. Supplier renegotiation could improve terms, but no supplier has confirmed the assumed discounts.

3. cost to achieve. Turn 6. Cost to achieve identifies spending required to deliver savings and is missing from the proposed net-benefit calculation.

4. standalone case. Turn 8. The standalone case shows performance without the acquisition, allowing the team to identify which improvements are genuinely incremental.

5. build-buy-partner. Turn 10. Build-buy-partner compares internal development, acquisition, and collaboration as alternative routes to the objective.

6. revenue dissynergies. Turn 12. Revenue dissynergies are losses associated with the combination or disruption and may offset some expected acquisition benefits.

7. integration roadmap. Turn 14. An integration roadmap connects proposed benefits with sequenced activities, dependencies, owners, and timing needed for delivery.

8. integration owner. Turn 16. An integration owner is accountable for delivering a defined activity; preparing the analysis alone does not create delivery responsibility.

9. bid authority. Turn 18. Bid authority is explicit permission to submit an offer; authorization to analyze does not provide that permission.

10. deal thesis. Turn 20. The deal thesis explains value creation; it remains provisional until material assumptions are tested.

F Transfer conversation

Page 57

1. \$120,000

Analyst: "The annual run-rate saving is \$120,000."

The fully operating annual rate is given directly and does not change because implementation begins midyear.

2. \$60,000

Reviewer: "Six months produces gross savings of \$60,000."

Half of the stated annual rate is realized during the six-month period under the exercise assumptions.

3. cost to achieve

Analyst: "The implementation payment is a cost to achieve."

The payment is required to implement the saving, so it must be included in the specified net calculation.

4. \$20,000

Reviewer: "The first-year net cash benefit on this basis is \$20,000."

Subtract the \$40,000 implementation payment from \$60,000 gross savings, using only the stated assumptions.

07 Briefing and language checks

Uncertainty, Scenarios, Strategic Options, and Risk Posture

A Briefing checks / page 58

1. What is the status of the two cases?

A. Illustrative scenarios without assigned probabilities

The brief explicitly calls the cases illustrative and supplies neither probabilities nor forecast approval.

2. Which comparison is supported by the brief?

B. The test is reversible and requires a smaller initial commitment.

The supplied facts establish reversibility and spending amounts, not success, approval, or prediction.

3. What should the team clarify before acting on a review trigger?

A. The measure, threshold, response, and decision authority

A useful trigger connects observable evidence with an explicit response and authorized decision process.

D Language checks / page 63

1. What revenue follows from the downside assumptions?

C. \$1.44 million

Multiply 8,000 units by \$180; the result is conditional revenue, not profit or a prediction.

2. Which statement avoids inventing probability?

D. No probability has been assigned to either scenario.

The number and order of scenarios do not establish likelihood, and the brief explicitly supplies none.

3. Which trigger is operationally clearer?

D. Review expansion if the agreed demand measure stays below its threshold for the specified period.

A defined measure, threshold, and period provide a repeatable review condition without turning noise into certainty.

4. What does the \$50,000 test preserve?

C. A later choice about the larger commitment, subject to evidence and approval

The reversible test preserves flexibility but does not establish success or authorize subsequent spending.

07 Conversation answers

Uncertainty, Scenarios, Strategic Options, and Risk Posture

E Dialogue gaps

Pages 64-65

1. scenario. Turn 2. A scenario describes a possible future under assumptions; it does not by itself predict which future will occur.

2. base case. Turn 4. The base case is the reference assumption set, not automatically the most likely outcome or an approved forecast.

3. downside case. Turn 6. The downside case combines lower volume and price, conditionally producing \$1.44 million revenue.

4. probabilities. Turn 8. Probabilities require a justified likelihood assessment; presenting two cases does not establish equal chances or an expected-value calculation.

5. sensitivity analysis. Turn 10. Sensitivity analysis changes inputs to show how results respond, helping distinguish the effects of price and volume.

6. option value. Turn 12. Option value preserves a later choice while gathering evidence; it does not guarantee success.

7. signposts. Turn 14. Signposts are observable developments relevant to the assumptions; monitoring them does not automatically establish a decision threshold or response.

8. trigger. Turn 16. A trigger links a defined condition to a specified response, here a review.

9. risk limits. Turn 18. Risk limits constrain exposure during the evidence-gathering stage and prevent learning language from disguising an open-ended spending commitment.

10. decision gate. Turn 20. A decision gate requires a defined review before further commitment; pilot approval must not silently become authorization for full expansion.

F Transfer conversation

Page 66

1. threshold

Analyst: "All three totals are below the threshold."

Each supplied weekly total is less than 80, the level specified in the review rule.

2. trigger

Lead: "The agreed review trigger has been met."

Three consecutive weeks below the threshold satisfy the complete condition, not just one part of it.

3. review

Analyst: "We should now arrange the review."

The stated response is a review; the exercise supplies no different automatic action.

4. authority

Lead: "Cancellation would still require authority."

Meeting the review condition does not confer the cancellation authority expressly excluded by the briefing.

08 Briefing and language checks

Execution Governance, Operating Model, KPIs, and Board Narrative

A Briefing checks / page 67

1. What decision is requested?

B. Approval of a two-site, twelve-week pilot capped at \$150,000

The brief defines a bounded pilot request and expressly excludes full-rollout authorization.

2. Which measure is a quality guardrail?

A. Keeping the error rate at or below 2%

The error limit protects quality while the team attempts to improve processing speed.

3. Who would own delivery?

C. The operations director

The briefing assigns operational delivery to the operations director and financial verification to finance.

D Language checks / page 72

1. Which opening makes the decision clearest?

C. Approve a twelve-week, two-site pilot with spending capped at \$150,000.

The correct opening states the requested action and its three explicit limits without expanding authorization.

2. A pilot reaches four days but has a 2.5% error rate. What is accurate?

B. It meets the speed target but breaches the stated quality guardrail.

Four days meets the speed target, but 2.5% exceeds the maximum permitted error rate of 2%.

3. What follows from spending only \$135,000 within the approved scope?

D. The team is below the cap; it need not spend the remaining \$15,000.

A cap is a maximum rather than a required spending target or permission to expand scope.

4. What must precede a wider rollout?

A. Review the pilot evidence and obtain the separate required decision.

The brief requires a final evidence review before the board considers further investment.

08 Conversation answers

Execution Governance, Operating Model, KPIs, and Board Narrative

E Dialogue gaps

Pages 73-74

- 1. decision request.** Turn 2. The decision request explicitly states what the board is being asked to authorize.
- 2. pilot scope.** Turn 4. Pilot scope defines the limited sites, duration, and activities being tested; it must not imply permission for wider implementation.
- 3. outcome metric.** Turn 6. The outcome metric tracks the intended improvement: median processing time moving from six days to the four-day target.
- 4. guardrail metric.** Turn 8. The guardrail metric protects quality while speed improves; the case sets a maximum error rate of 2%.
- 5. delivery owner.** Turn 10. The delivery owner is accountable for implementing the pilot; naming several supporting functions does not replace a clear accountable person.
- 6. spending cap.** Turn 12. The spending cap limits expenditure; unused funds do not require spending or authorize expansion.
- 7. reporting cadence.** Turn 14. Reporting cadence sets the frequency of updates so the relevant decision-makers receive evidence in time to oversee the pilot.
- 8. board narrative.** Turn 16. The board narrative connects the requested decision with relevant evidence, limits, and accountability.
- 9. stage review.** Turn 18. The stage review assesses evidence before a later commitment; completing the pilot does not itself authorize company-wide rollout.
- 10. decision record.** Turn 20. The decision record documents approval and its limits, preventing an open-ended interpretation.

F Transfer conversation

Page 75

- 1. met**
Lead: "The processing-time target was met."
The reported median equals the four-day target supplied in the briefing.
- 2. breached**
Reviewer: "The quality guardrail was breached."
The 2.5% error rate exceeds the stated maximum of 2%, despite the speed improvement.
- 3. cap**
Lead: "Spending remained below the cap."
The \$135,000 total is less than the authorized \$150,000 ceiling.
- 4. decision**
Reviewer: "Rollout still requires a separate decision."
Meeting some pilot measures does not authorize rollout, especially with an unresolved guardrail breach.

08

Find the move you need

Use these as precise language models. Replace details only when you know the actual facts, authority, and agreed conditions.

01 Strategy Role, Problem Framing, and Executive Diagnosis

Clarify the request: Which outcome should the growth strategy prioritize?

Ask for the horizon: Over what period should we evaluate the result?

Close with a decision: Let us confirm the mandate before Monday's options discussion.

Full phrase set: pages 7-8 | Dialogue: pages 10-11

02 Strategic Choices: Ambition, Where to Play, How to Win, and Tradeoffs

Respect the ambition: Both initiatives may have value, but the current plan does not fit.

Identify the shared resource: Both proposals depend on the same specialist team.

Close with a commitment: The final plan must name what happens now and what waits.

Full phrase set: pages 16-17 | Dialogue: pages 19-20

03 Industry Structure, Competitive Dynamics, and Profit Pools

Challenge the boundary: The \$10 billion figure includes demand we cannot currently serve.

Show the arithmetic: That assumption implies \$12 million annual revenue.

Close with definitions: Show the market boundary, filters, and capture assumptions together.

Full phrase set: pages 25-26 | Dialogue: pages 28-29

04 Business Models, Unit Economics, Capabilities, and Advantage

Acknowledge demand: More completed jobs show higher volume, not automatically a sound model.

Name the result: Contribution is negative \$15 per job before the excluded costs.

Close with evidence: Test the proposed economics before treating scale as the solution.

Full phrase set: pages 34-35 | Dialogue: pages 37-38

Keep the conversation productive

Use these as precise language models. Replace details only when you know the actual facts, authority, and agreed conditions.

05 Portfolio Strategy, Capital Allocation, and Resource Reallocation

State the limit: Full funding for both requests exceeds the envelope by \$1 million.

Request the consequence: What work would stop, shrink, or wait if this proposal is funded?

Close with a shared basis: Compare forward costs, benefits, risks, timing, and displaced alternatives.

Full phrase set: pages 43-44 | Dialogue: pages 46-47

06 Growth Strategy, Market Entry, Partnerships, and M&A Logic

Qualify the headline: The \$4 million is an unverified annual run-rate estimate.

Request implementation costs: We need the cost to achieve before describing a net benefit.

Name an owner: Who is accountable for validating and delivering this saving?

Full phrase set: pages 52-53 | Dialogue: pages 55-56

07 Uncertainty, Scenarios, Strategic Options, and Risk Posture

State the condition: If volume and price follow these assumptions, revenue would be \$1.44 million.

Name the reference: The base case is our comparison point, not a guarantee.

Specify the trigger: Let us agree the measure, threshold, and review period.

Full phrase set: pages 61-62 | Dialogue: pages 64-65

08 Execution Governance, Operating Model, KPIs, and Board Narrative

Open with the request: We request approval for a twelve-week pilot at two sites.

Preserve the baseline: The measured baseline is six days on the stated definition.

Define the next decision: Wider rollout would require a separate board decision.

Full phrase set: pages 70-71 | Dialogue: pages 73-74

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

accountability	assign clear accountability	68
acquisition rationale	test the acquisition rationale	50
activity system	align the activity system	15
adjacency	evaluate an adjacency	14
alignment	confirm alignment on the objective	6
assumption register	maintain the assumption register	6
avoidable cost	identify avoidable costs	41
barrier to entry	evaluate barriers to entry	24
base case	label the base-case assumptions	59
baseline	establish the baseline	5
benefit owner	assign the benefit owner	42
benefit realization	track benefit realization	41
benefit verification	require benefit verification	69
bid authority	confirm bid authority	51
board narrative	sharpen the board narrative	68
bottom-up estimate	construct a bottom-up estimate	23
break-even volume	calculate break-even volume	32
build-buy-partner	compare build-buy-partner options	50
business model	test the business model	32
buyer power	assess buyer power	24
cannibalization	estimate cannibalization	15
capability gap	close a capability gap	33
capacity constraint	quantify the capacity constraint	14
capital allocation	defend the capital allocation	41

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

capital intensity assess capital intensity	42
capital rationing account for capital rationing	41
capture assumption test the capture assumption	23
channel access secure channel access	24
churn distinguish customer churn from revenue churn	33
cohort economics compare cohort economics	33
commercial diligence commission commercial diligence	51
commitment distinguish a commitment from an option	15
committed cost review committed costs	41
competitive positioning clarify competitive positioning	15
competitive response assess competitive responses	24
concentration measure customer concentration	24
constraint identify binding constraints	5
contingency plan activate a contingency plan	60
contribution calculate unit contribution	32
contribution margin ratio calculate the contribution margin ratio	32
core business strengthen the core business	14
cost advantage test the cost advantage	14
cost to achieve estimate the cost to achieve	50
cost to serve analyze cost to serve	32
customer acquisition cost verify customer acquisition cost	33
customer lifetime value qualify customer lifetime value	33
customer retention protect customer retention	51
data owner confirm the data owner	69

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

deal thesis	challenge the deal thesis	50
decision authority	identify decision authority	68
decision gate	establish a decision gate	60
decision question	frame the decision question	5
decision record	maintain the decision record	69
decision request	state the decision request	68
decision rights	clarify decision rights	6
defensibility	test defensibility	33
delivery owner	name the delivery owner	68
dependency map	build a dependency map	42
deprioritization	document deprioritization	15
diagnosis	develop the strategic diagnosis	5
differentiation	substantiate differentiation	14
divestment	evaluate a divestment	42
double-counting	eliminate double-counting	51
downside case	stress the downside case	59
driver analysis	conduct driver analysis	6
economies of scale	substantiate economies of scale	33
escalation route	clarify the escalation route	69
evidence gap	identify an evidence gap	6
exception report	issue an exception report	69
execution governance	establish execution governance	68
execution risk	assess execution risk	51
executive sponsor	confirm the executive sponsor	5

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

fact base build the fact base	6
fixed cost define the fixed-cost base	32
forecast update the approved forecast	59
gross benefit qualify gross benefits	41
gross margin define the gross-margin basis	32
gross savings state gross savings separately	50
guardrail metric monitor the guardrail metric	68
harvest strategy assess a harvest strategy	42
how to win explain how to win	14
hurdle rate apply the hurdle rate	42
hypothesis test the working hypothesis	6
incremental cash flow estimate incremental cash flows	41
incremental value estimate incremental value	51
industry structure analyze industry structure	23
inorganic growth evaluate inorganic growth	50
integration dependency identify integration dependencies	51
integration owner appoint an integration owner	51
integration roadmap develop the integration roadmap	51
internal rate of return qualify the internal rate of return	42
investment case strengthen the investment case	41
investment envelope respect the investment envelope	41
irreversible commitment defer an irreversible commitment	60
issue tree build an issue tree	6
key performance indicator choose relevant key performance indicators	68

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

lagging indicator	review lagging indicators	60
leading indicator	validate a leading indicator	59
learning curve	estimate the learning curve	33
market boundary	specify the market boundary	23
market segmentation	refine market segmentation	24
market share	state the market-share denominator	23
market-entry mode	select a market-entry mode	50
measurement window	agree the measurement window	69
median	report median processing time	69
metric definition	document the metric definition	69
minimum viable scope	define minimum viable scope	15
monetization	evaluate the monetization approach	32
net benefit	calculate net benefits	42
net present value	compare net present values	42
objective	define the strategic objective	5
operating leverage	assess operating leverage	32
operating model	define the operating model	68
operational effectiveness	improve operational effectiveness	15
opportunity cost	assess opportunity cost	14
option value	preserve option value	60
organic growth	pursue organic growth	50
outcome metric	define the outcome metric	68
partnership model	define the partnership model	50
payback period	estimate the payback period	33

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

phased rollout	propose a phased rollout	15
pilot scope	protect the pilot scope	68
plausibility	test scenario plausibility	59
portfolio strategy	review the portfolio strategy	41
prediction	avoid an unsupported prediction	59
price elasticity	estimate price elasticity	24
probability	justify the assigned probability	59
problem statement	sharpen the problem statement	5
profit pool	map the profit pool	23
recommendation	present a qualified recommendation	6
regulatory barrier	verify regulatory barriers	24
reporting cadence	set the reporting cadence	69
resource bottleneck	identify the resource bottleneck	15
resource envelope	work within the resource envelope	14
resource reallocation	plan resource reallocation	41
retention	measure customer retention	33
return on invested capital	define return on invested capital	42
revenue dissynergy	assess potential revenue dissynergies	51
revenue model	clarify the revenue model	32
reversible decision	favor a reversible decision where appropriate	60
risk appetite	clarify risk appetite	60
risk tolerance	specify risk tolerance	60
rivalry	evaluate competitive rivalry	24
robust option	compare robust options	60

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

rollout criteria	agree rollout criteria	69
run-rate savings	distinguish run-rate savings from first-year cash	50
scalability	test scalability	33
scenario	construct a plausible scenario	59
scope boundary	document the scope boundary	5
sensitivity analysis	run sensitivity analysis	59
sequencing	agree the sequencing	15
serviceable available market	estimate the serviceable available market	23
serviceable obtainable market	support the serviceable obtainable market	23
signpost	monitor early signposts	59
spending cap	enforce the spending cap	68
stage review	conduct the stage review	69
stage-gated funding	propose stage-gated funding	42
staged commitment	design a staged commitment	60
stakeholder map	prepare a stakeholder map	6
standalone case	establish the standalone case	51
stop-doing list	maintain a stop-doing list	15
strategic ambition	articulate the strategic ambition	14
strategic fit	assess strategic fit	15
strategic fit	assess strategic fit	50
strategic focus	maintain strategic focus	14
strategic mandate	clarify the strategic mandate	5
strategic option	develop strategic options	6
stress test	define the stress-test assumptions	59

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

substitute identify substitutes	24
success criterion agree success criteria	6
sunk cost separate sunk costs	41
supplier power assess supplier power	24
supplier renegotiation test supplier renegotiation assumptions	51
switching cost investigate switching costs	24
symptom distinguish a symptom from a cause	5
synergy validate the synergy estimate	50
target set a measurable target	5
threshold agree the threshold	60
time horizon agree the time horizon	5
top-down estimate qualify a top-down estimate	23
total addressable market define the total addressable market	23
trade-off make the trade-off explicit	14
trigger set a review trigger	60
uncertainty acknowledge material uncertainty	59
unit economics analyze unit economics	32
value capture explain value capture	23
value chain analyze the value chain	23
variable cost identify variable delivery costs	32
variance explain material variance	69
weighted average cost of capital justify the cost-of-capital assumption	42
where to play define where to play	14
willingness to pay assess willingness to pay	33

Original cases. Clear boundaries.

These are original fictional teaching conversations, not transcripts of real workers. Names, figures, organizations, and incidents are invented. Sources support terminology and communication aims, not the fictional results or an endorsement of this book.

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[2] US Small Business Administration. Break-even point.

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Public-sector appraisal reference for comparing options, costs, benefits, and uncertainty. It is not presented as a binding corporate-strategy standard or a private investment rule. Checked 30 September 2026.

Phil Stilwell

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